



Deutsche Bank
Research

Charts to make you go WOW!!! 2026

July 2026

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Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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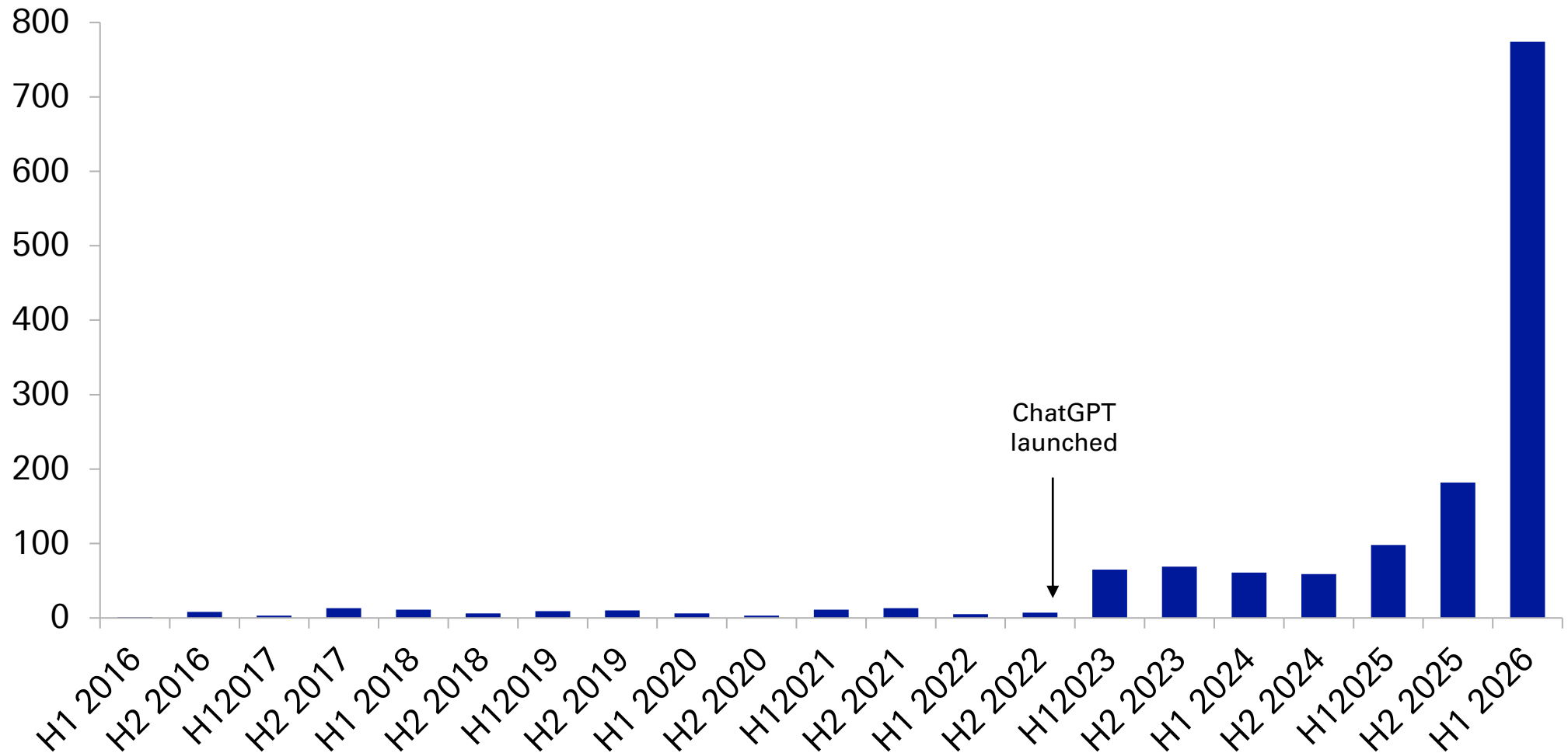
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The whole world has gone AI crazy....



Mentions of AI Disruptions in Global Earnings Call Transcripts

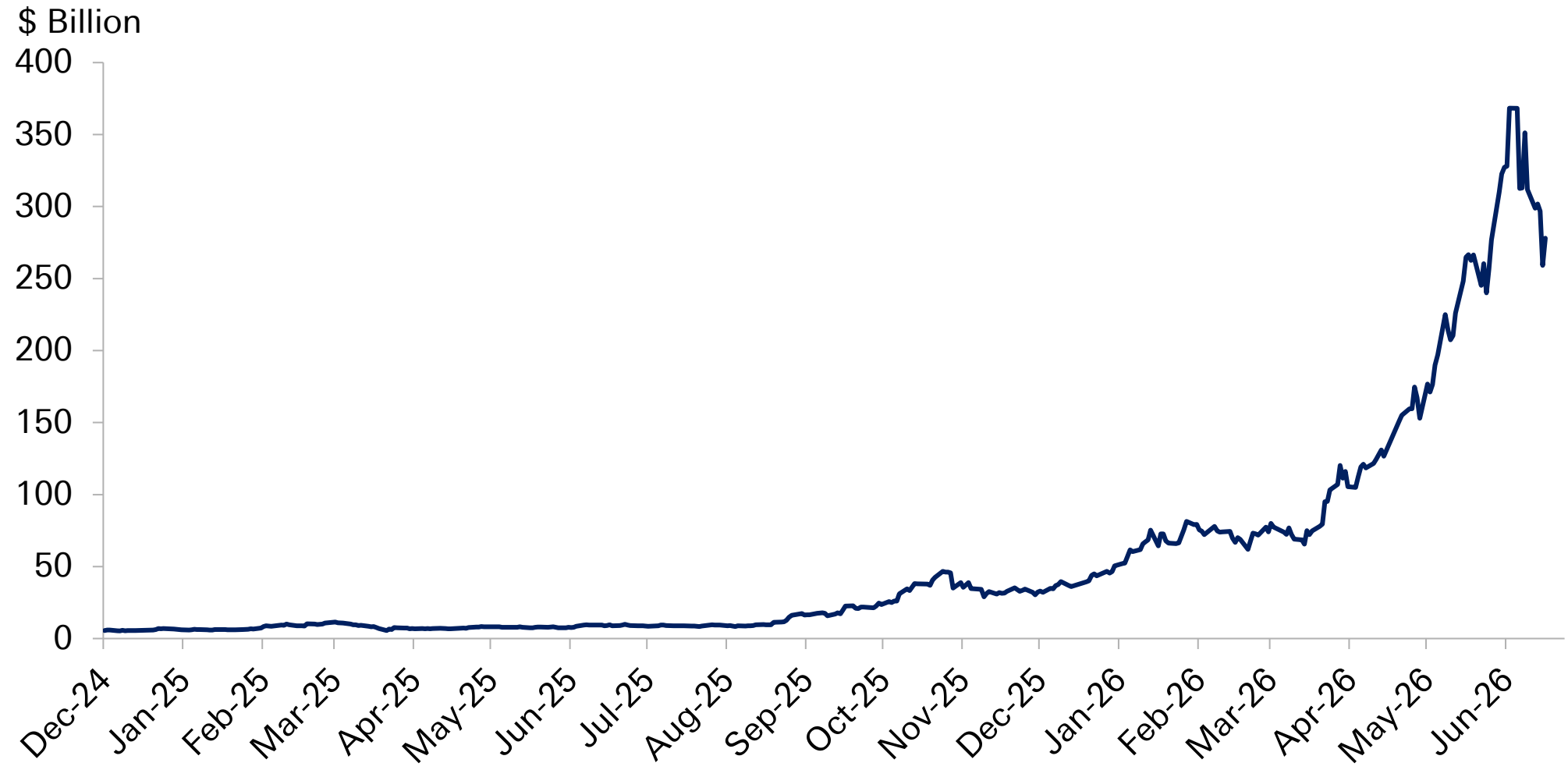


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3

The largest company in Japan was only worth c.\$8bn 12 months ago. Was around 46 times larger at the peak 2 weeks ago. It only entered the Nikkei 225 on April 1st, 2026. It manufactures semiconductor memory products.



Kioxia Holdings Corporation Market Capitalisation

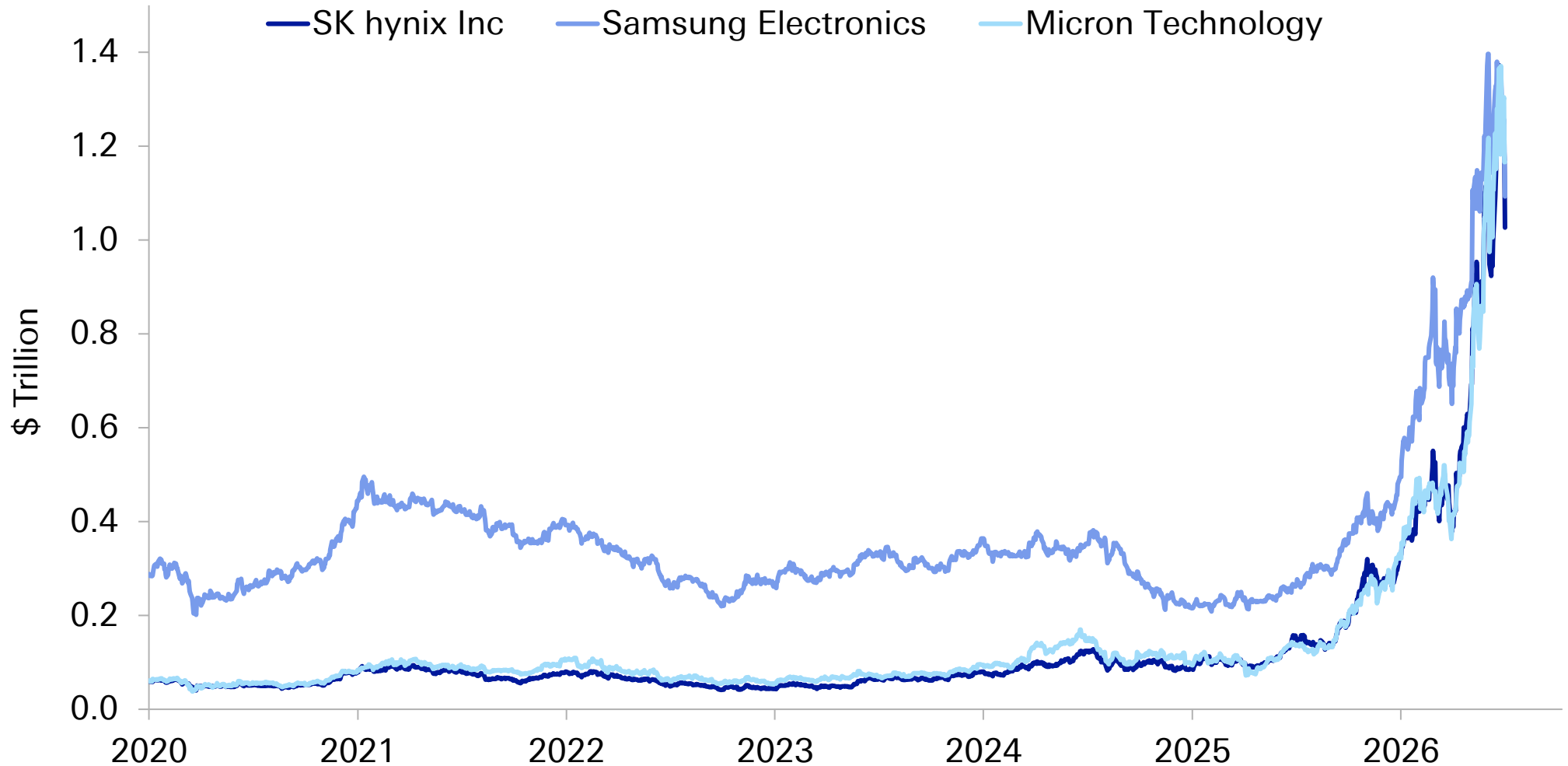


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3



The largest global memory companies have seen their market caps climb around 5-10 times that of a year ago and have burst into the trillion-dollar club, an exclusive global club with only 17 members. A big sell-off over the last 10 days is worth watching though...

Market cap in US\$ of the largest global memory companies

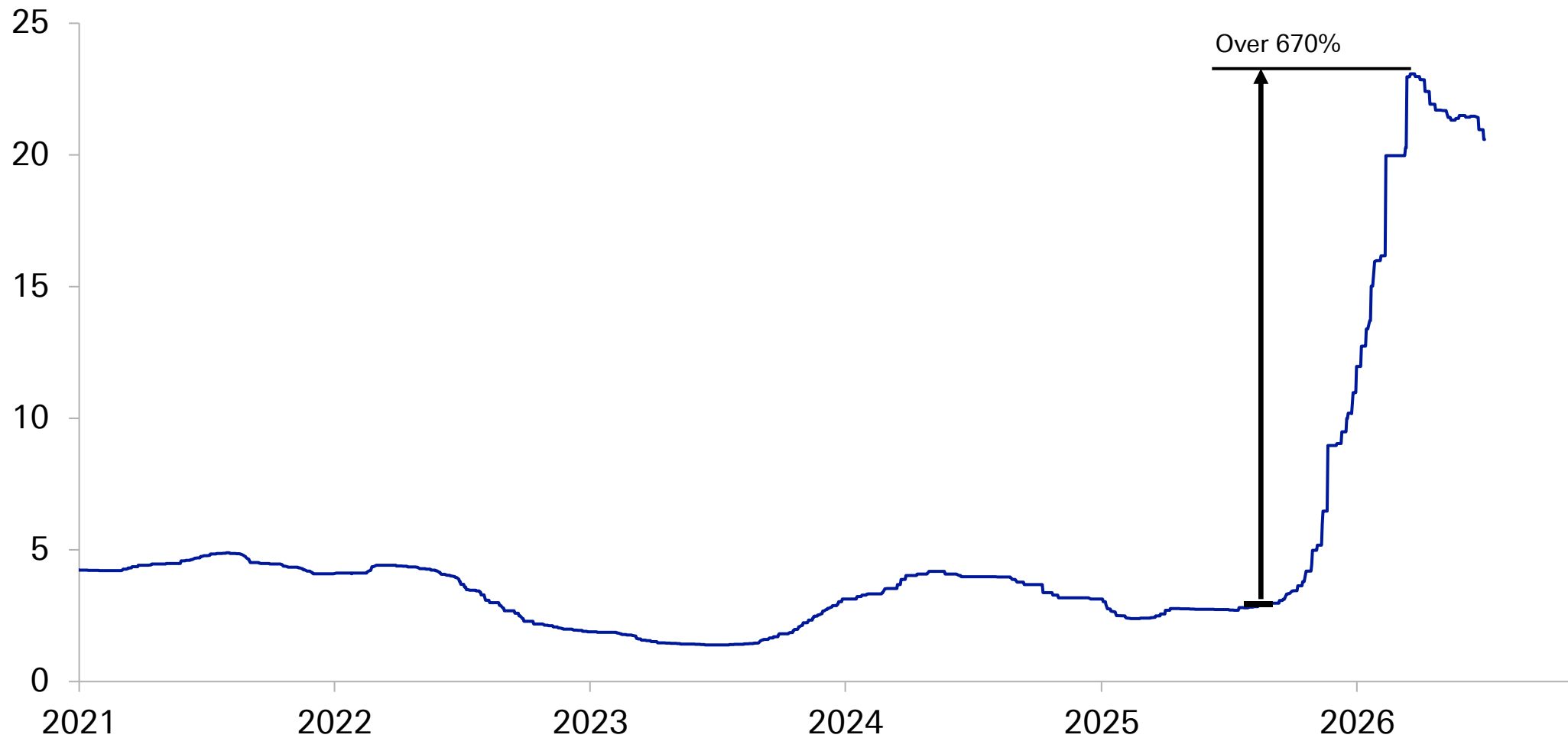


Source : Bloomberg Finance LP, Deutsche Bank., Last update : July 3

Memory is a broken market even if it has come off its highs...
expect all your consumer electronic prices to soar....



inSpectrum Tech Inc NAND FLASH Spot Price TLC Flash 512Gb

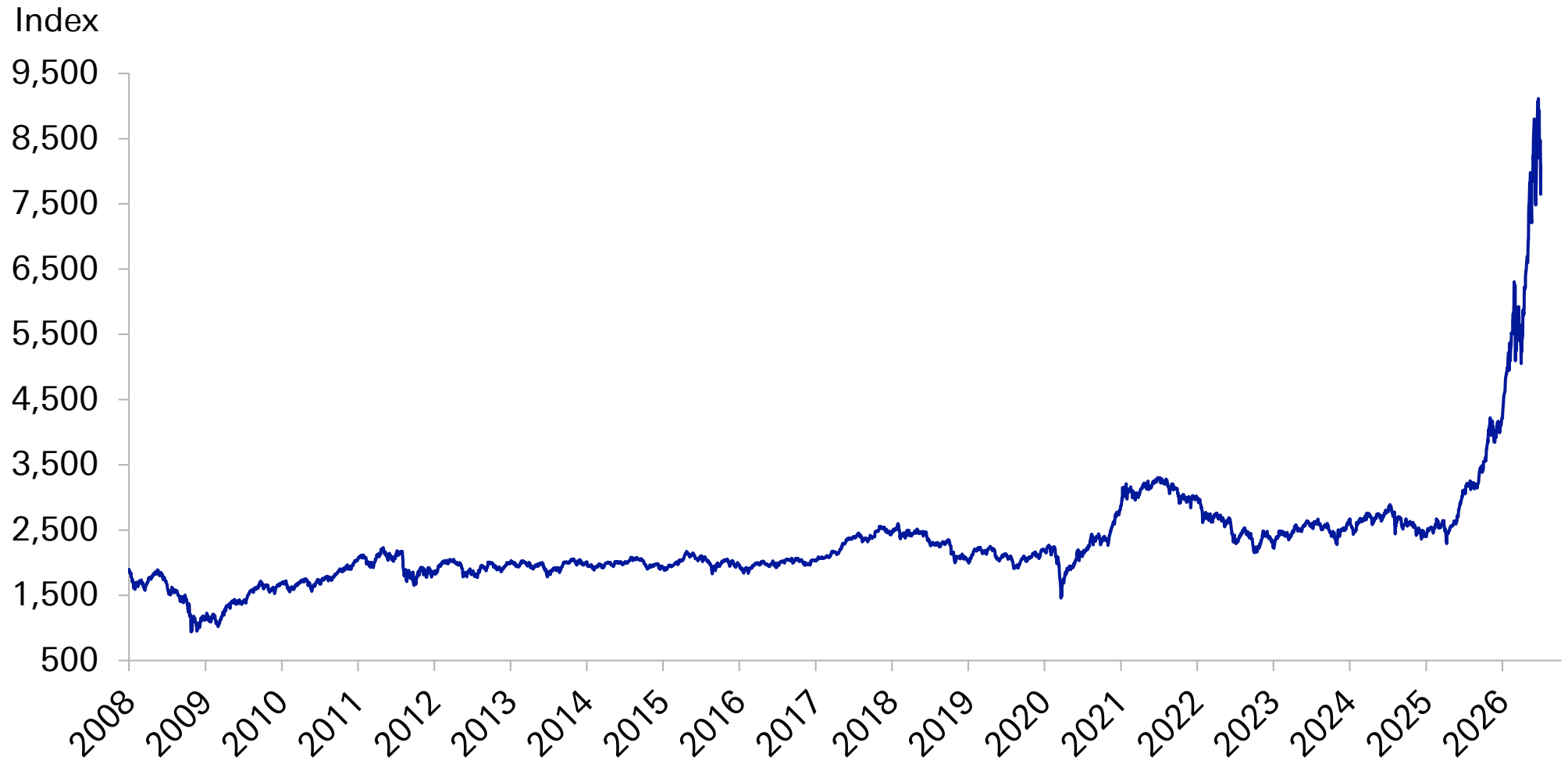


Source: Bloomberg Finance LP, Deutsche Bank, Last update July 3



Samsung and SK hynix helped the KOSPI triple over the past year after 17 years of doing nothing, even if some air has escaped from the balloon in recent days. Their combined market cap is still around 16 times that of the third largest company in the index.

KOSPI Index

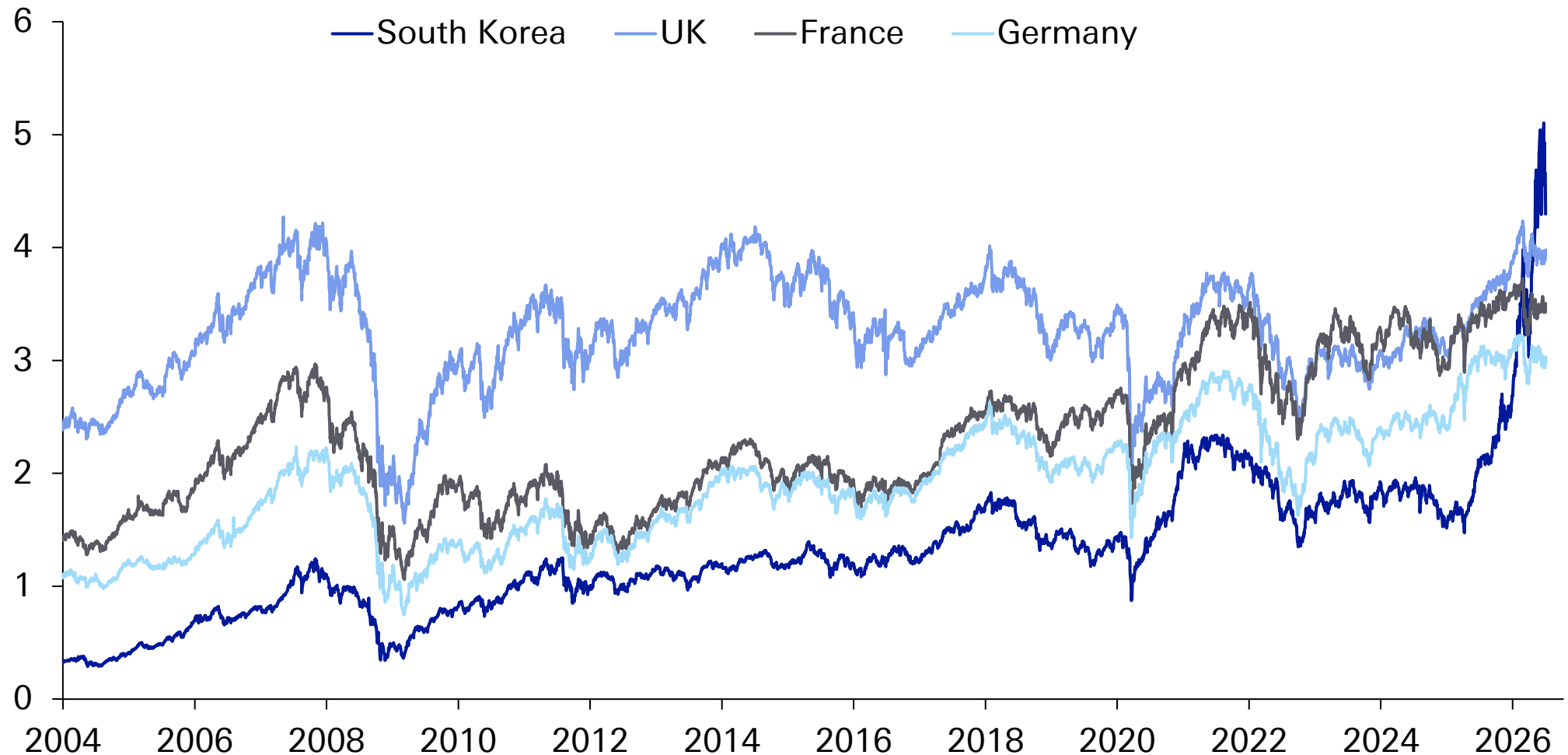


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

As a result the Korean exchange has now flown past the three largest European ones in terms of market cap...



Market cap in \$tn of selected exchanges

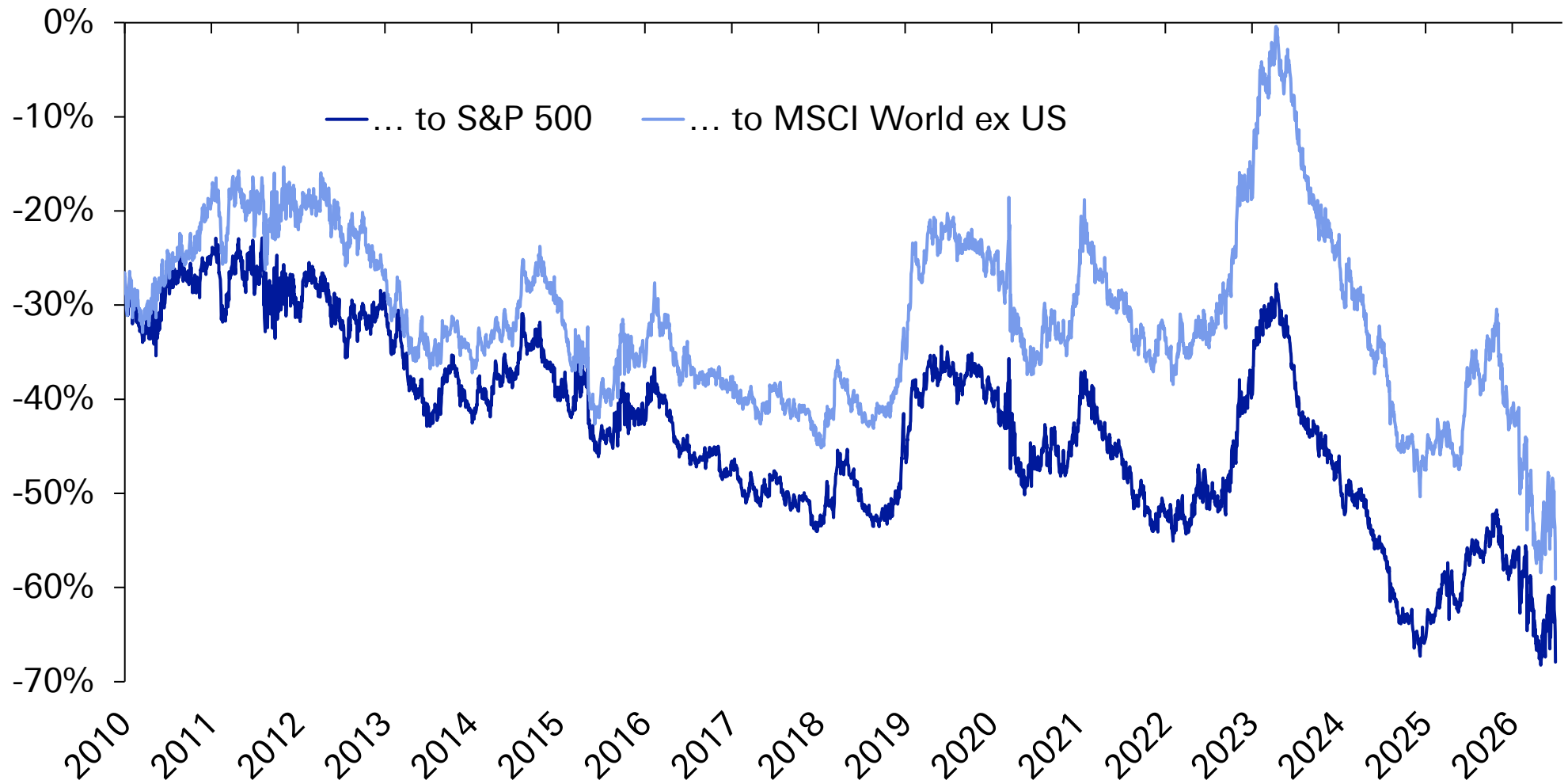


Source: Bloomberg Finance LP, Deutsche Bank.

Ironically, because of earnings estimates, it still trades at a large discount to the rest of the world. However this will all be very dependent on two companies' earnings...



Kospi 200 discount based on forward P/E

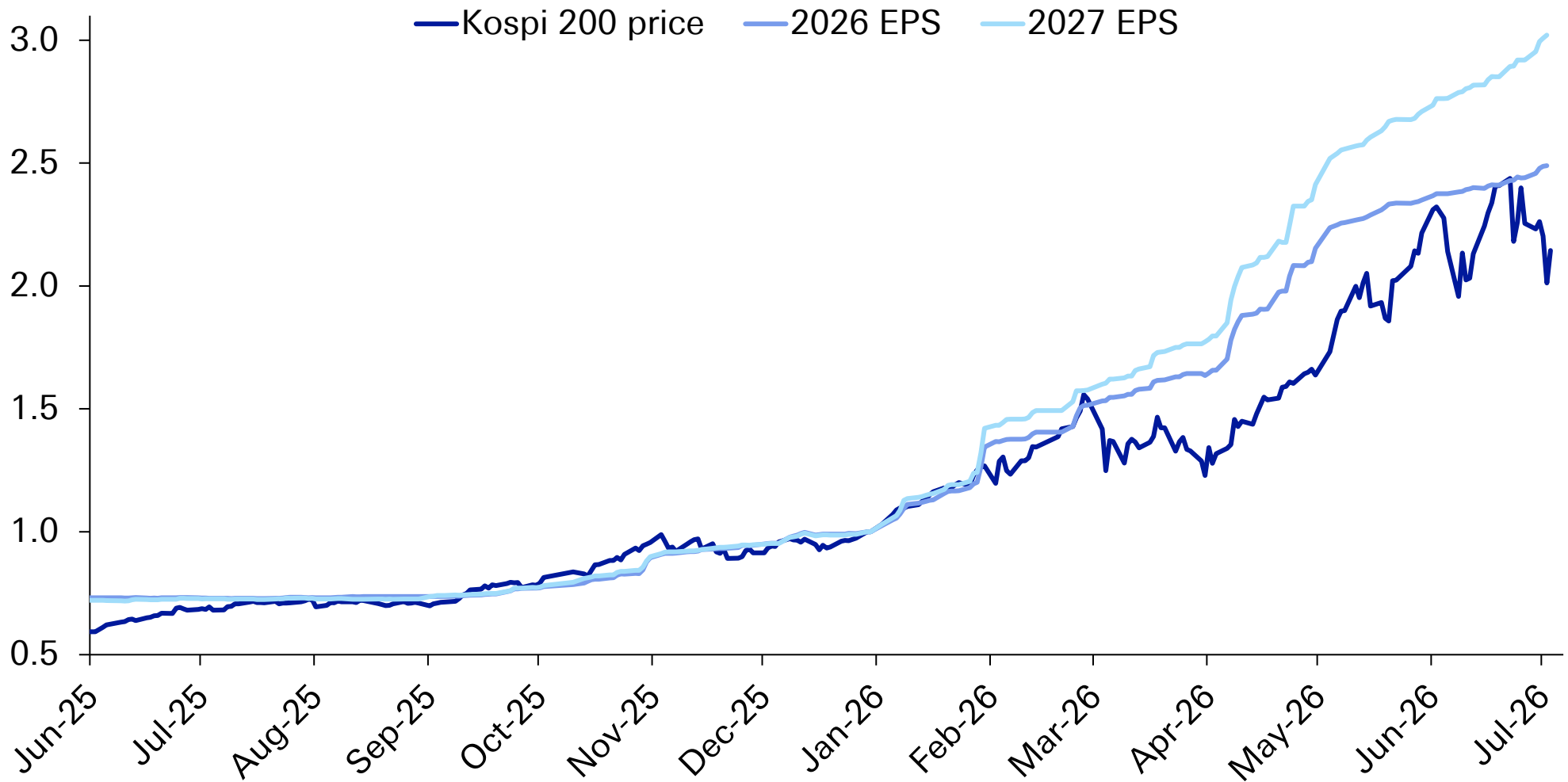


Source: Bloomberg Finance LP, Deutsche Bank.

So far the KOSPI move has actually lagged that of earnings which are again highly dependent on those two mega-caps



BBG consensus estimates for Kospi 200 full-year 2026 and 2027 EPS and the index price, rebased to end of 2025 (=1)

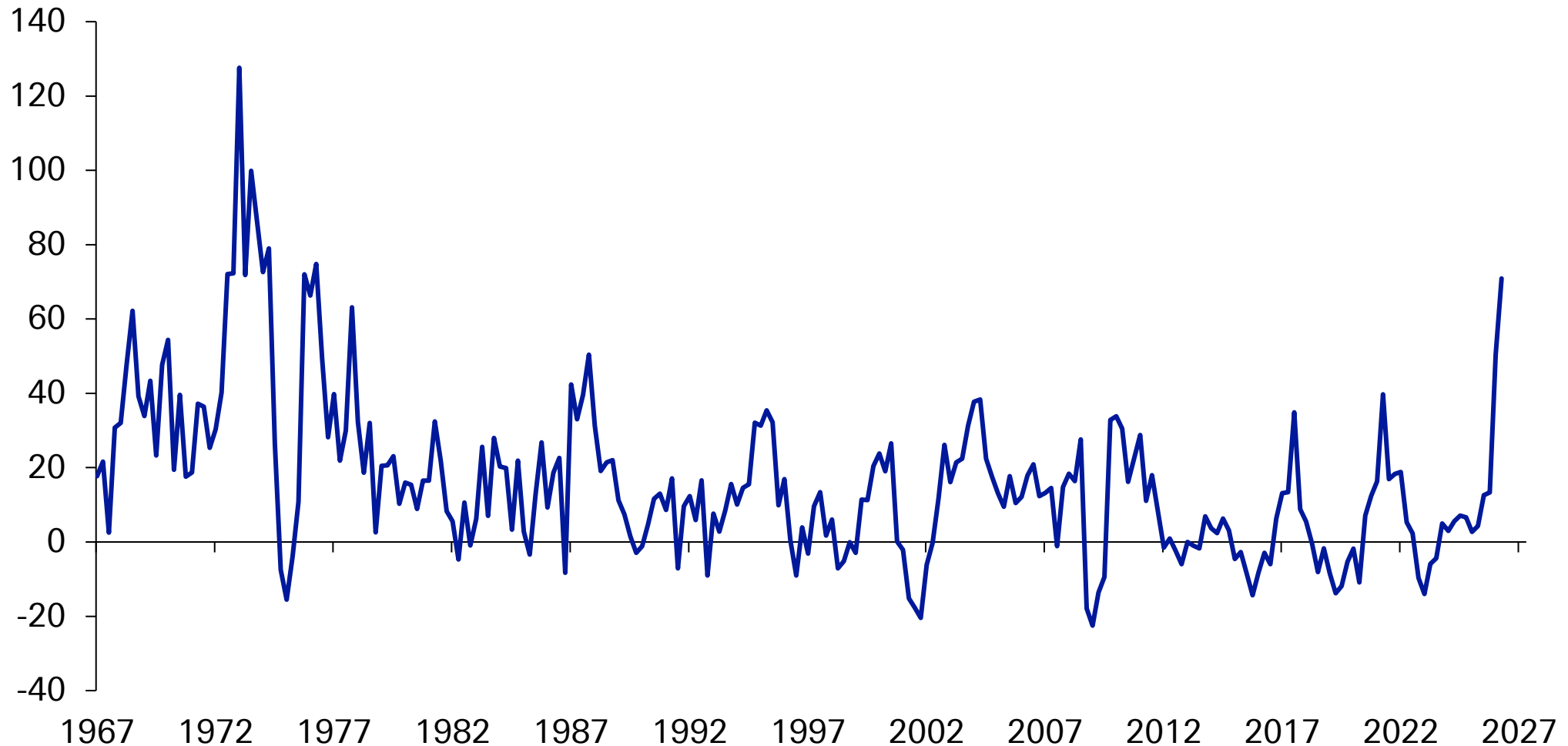


Source: Bloomberg Finance LP, Deutsche Bank.

Linked in to all this, South Korean exports are growing at their fastest YoY rate for 50 years...



South Korea Exports growth (%Y-o-Y)

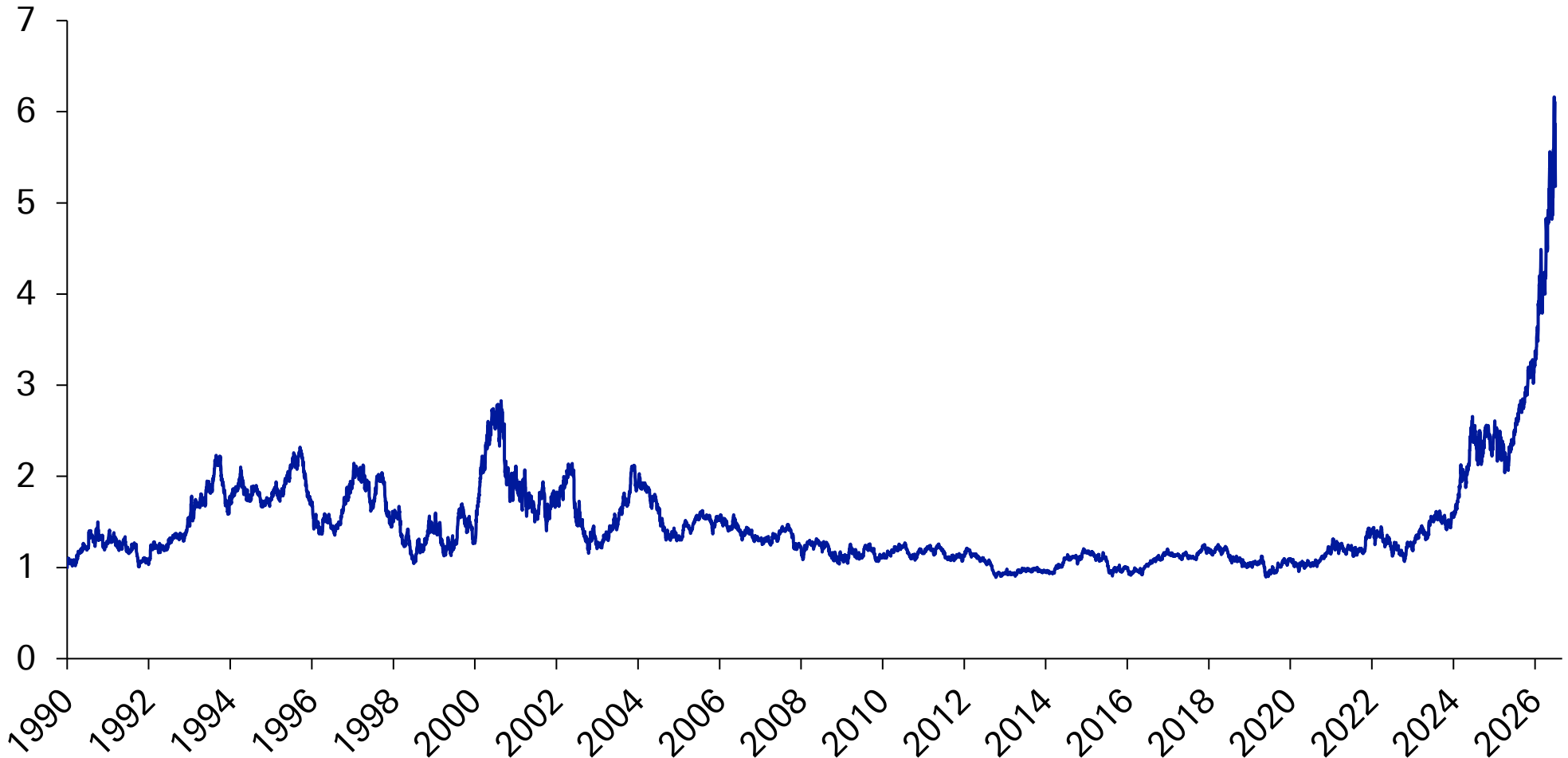


Source: Ministry of Trade, Industry and Resources, Bloomberg Finance LP, Deutsche Bank

It's clearly not just South Korea.. The semiconductors frenzy is global and has created an extreme bifurcation within tech as software lags on AI disruption fears



S&P 500 semiconductors & equipment relative to software & services, total returns ratio, since 1990 (=1)



Source: Bloomberg Finance LP, Deutsche Bank.



Party like it's 1999? Intel's share price has finally exceeded its high back in 2000. From its peak in 2000 to September last year, it was down around -75%. Since then, it's up over +600%. Is it a warning from the past as to how long it can take for stocks to recover after a valuation surge...

A Historic comeback: Intel's stock finally tops its 2000 high... and then some...



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

As AI fever takes over, Bitcoin has halved since October and has gone nowhere for 5yrs.



XBTUSD Spot Exchange Rate - Price of 1 XBT in USD



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

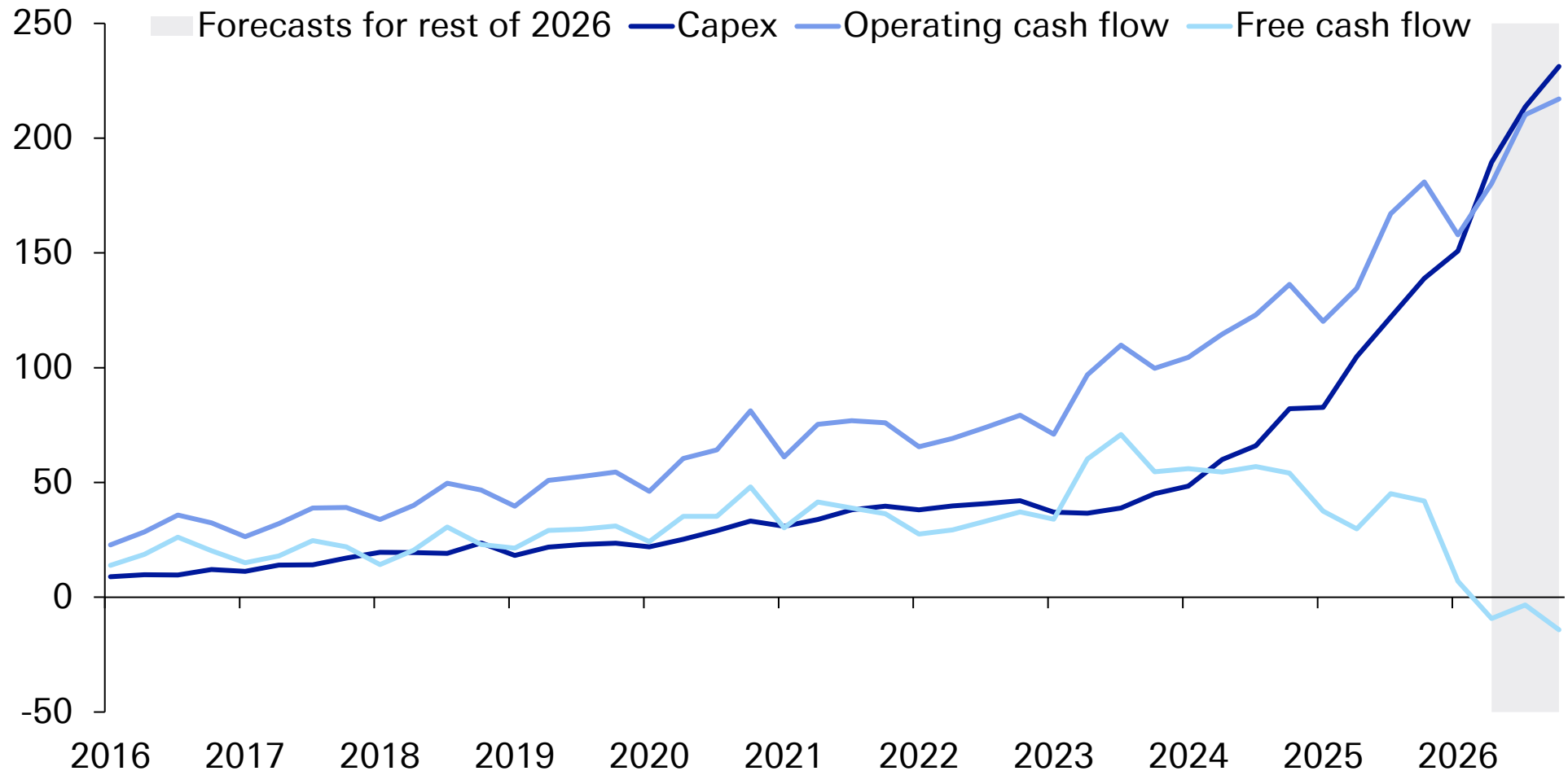


Hyperscalers. Capex starts to bite.

The 5 large US hyperscalers are now spending more on Capex than their combined operating cash flow...



5 hyperscalers, selected metrics with DB analysts' forecasts through 2026 (\$bn, quarterly)

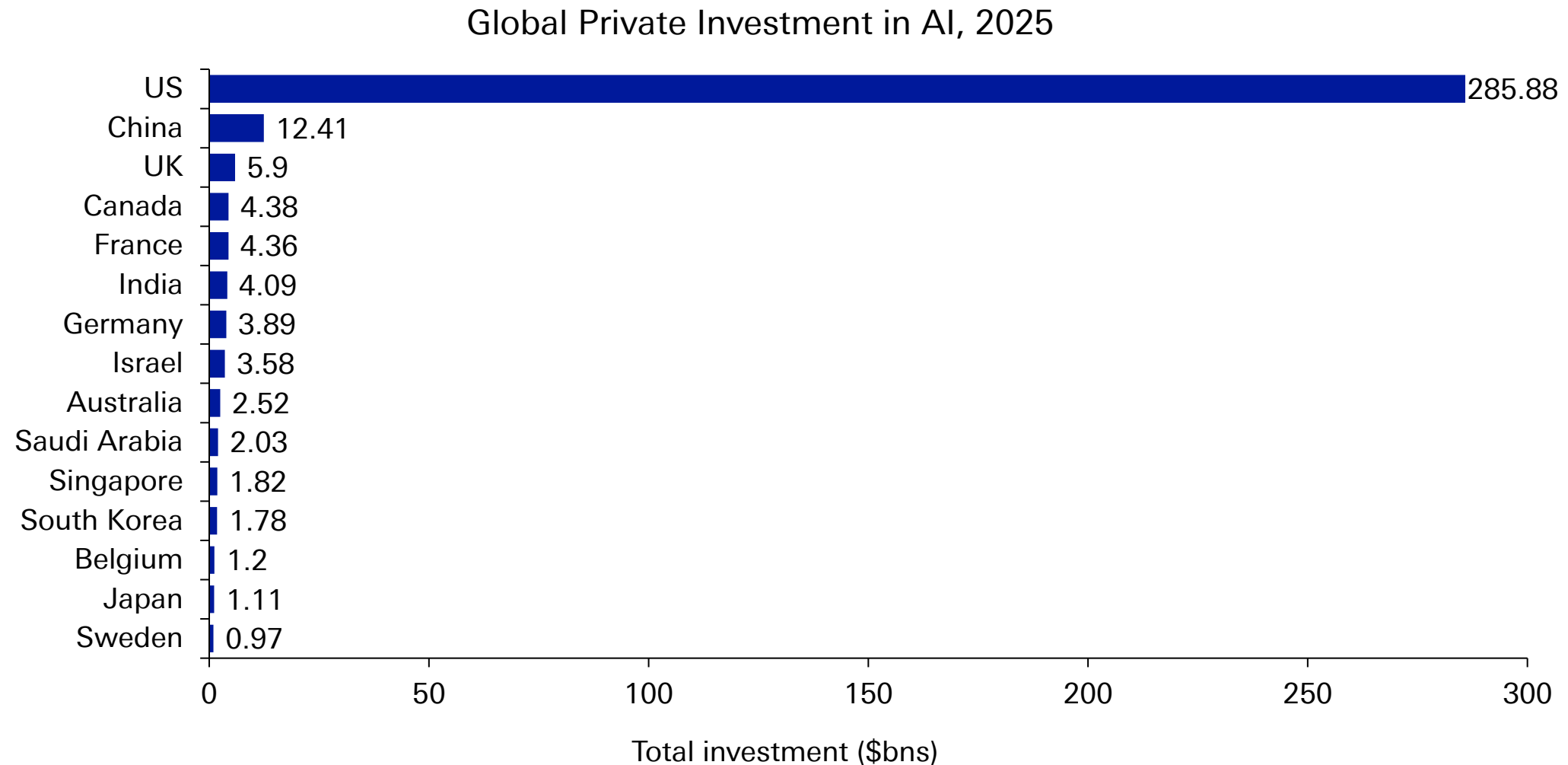


Source: Deutsche Bank, company reports.

Unparalleled access to private capital (around 20 times greater than the next-largest market) has helped finance the current wave of pioneering AI investment and innovation.



US private AI investment reached \$285bn in 2025, more 20x as much as in China

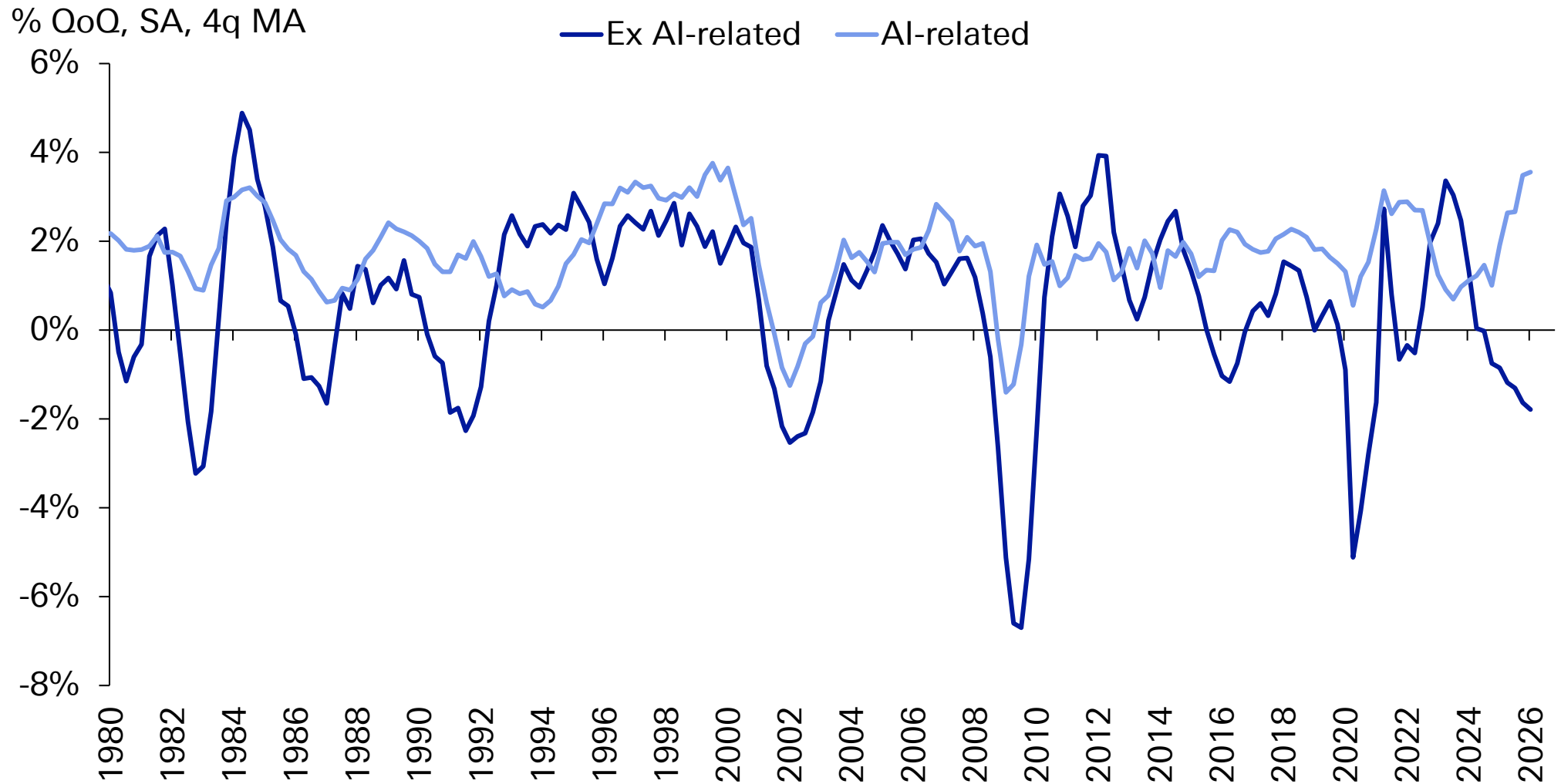


Source: Stanford University 2026 Artificial Intelligence Index Report, Deutsche Bank Research

But is this AI Capex crowding out non-AI investment?



US real private nonresidential fixed investment (Chn.2017\$)

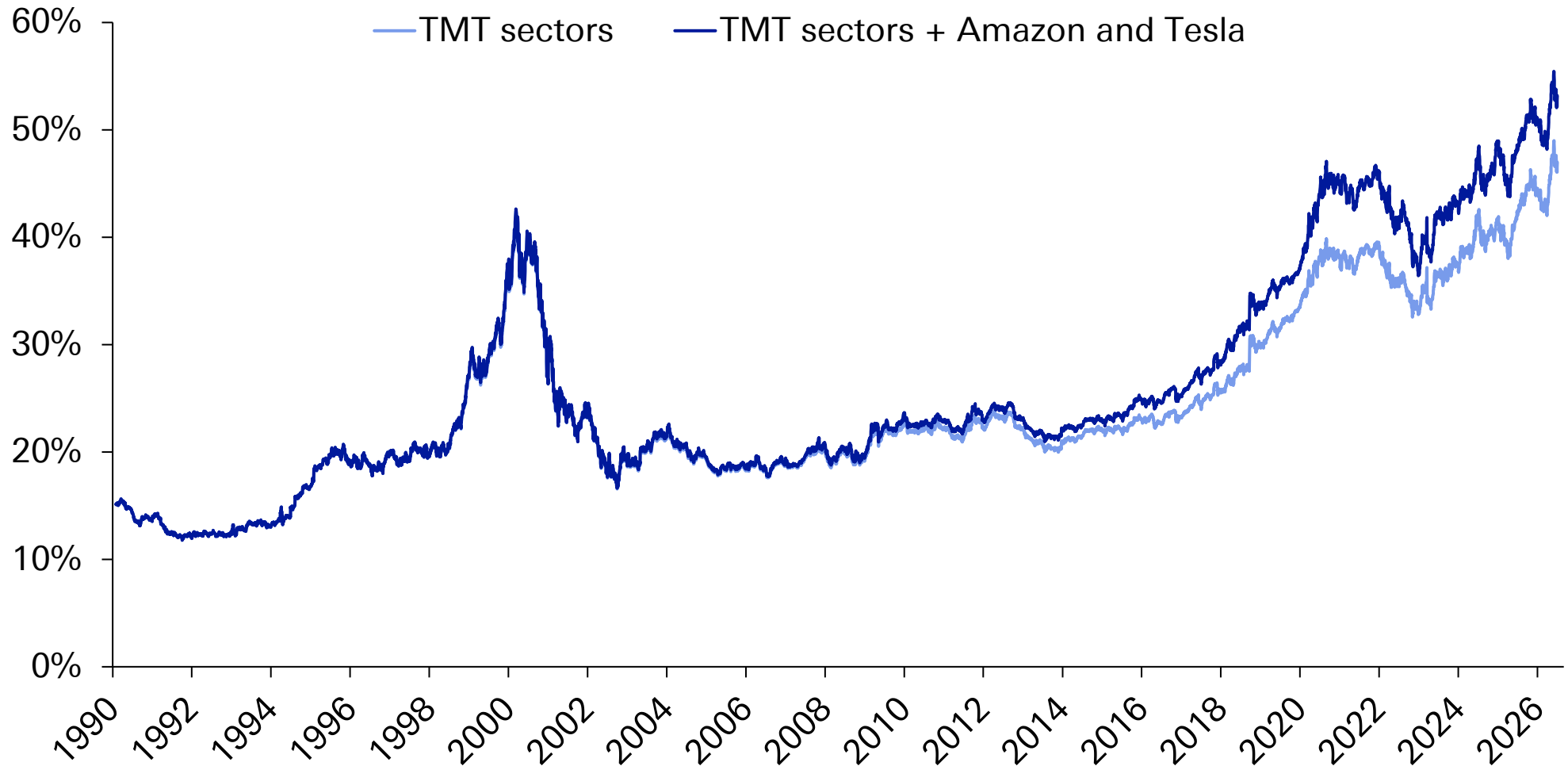


Source: BEA, Haver Analytics, Deutsche Bank. Note: includes information processing equipment, software, R&D and data centres.

This comes as TMT companies (mostly AI related) are now more than half of the S&P 500



Tech as a share of S&P 500 market cap

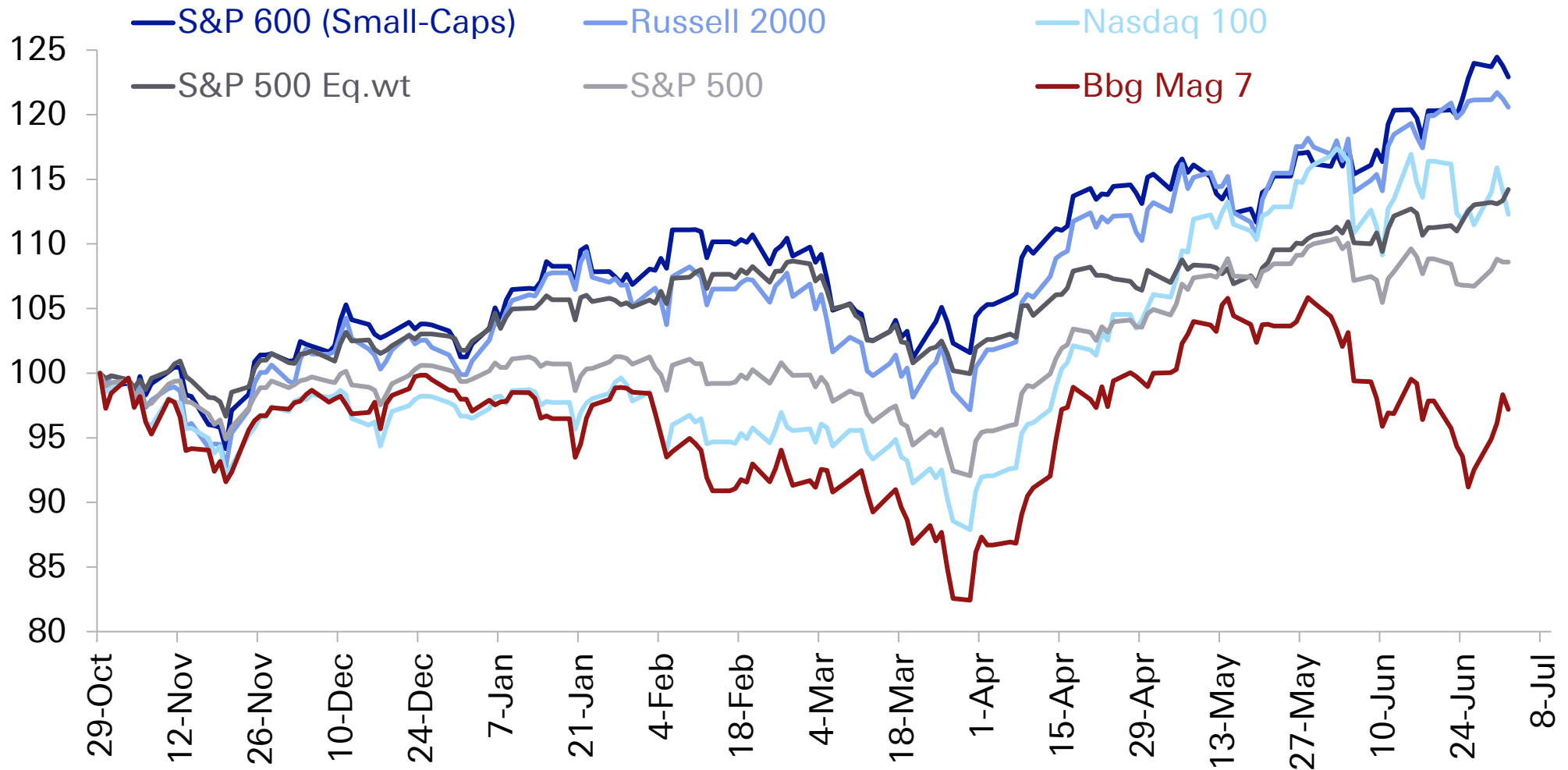


Source: Bloomberg Finance LP, Deutsche Bank.

However the S&P 500's leadership has changed, and the Mag-7 have underperformed in recent months...



Rotation away from large cap tech. US Index performance (Oct 29, 2025=100)

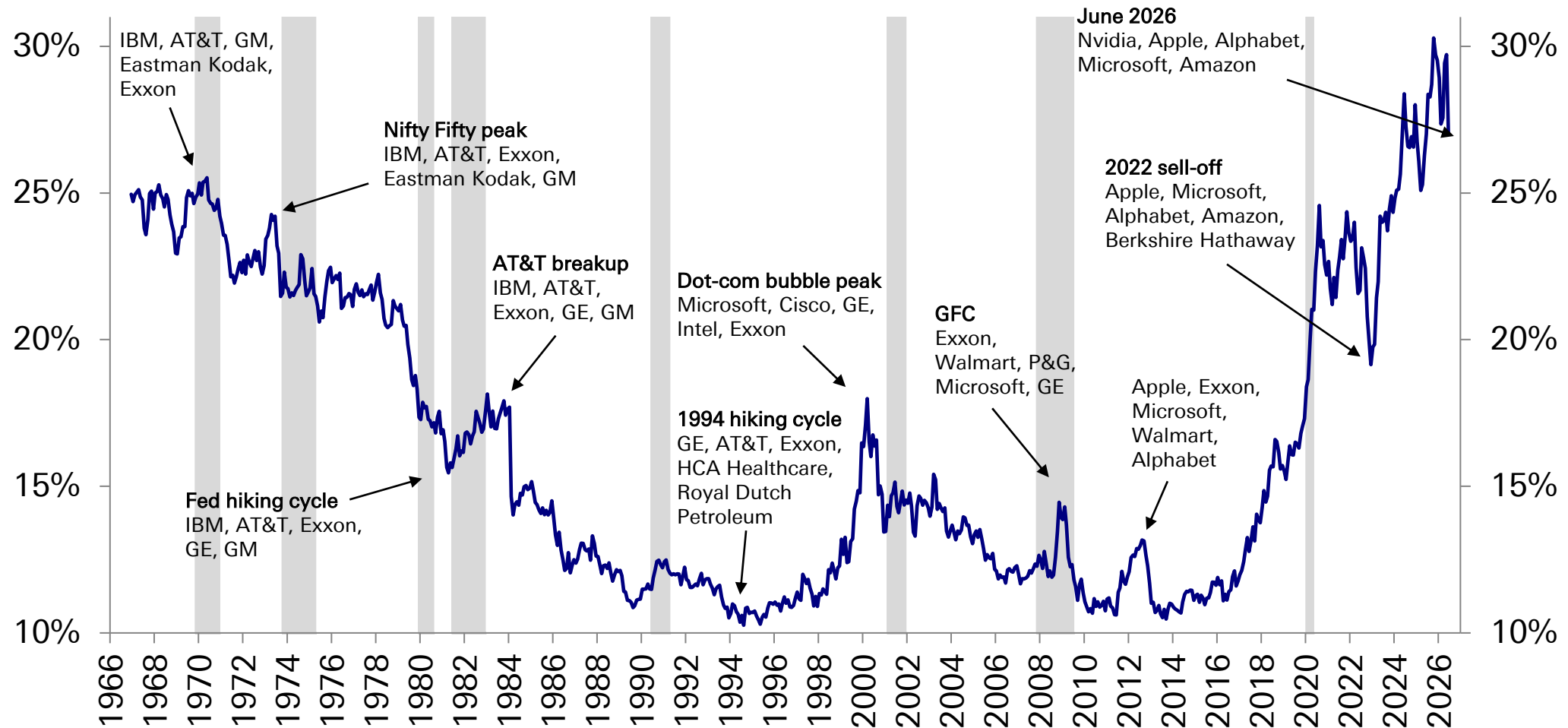


Source: Bloomberg Finance LP, Deutsche Bank., Last update July 3



This Mag-7 underperformance has meant the top 5 weighting in the S&P 500 has fallen since the peak in October last year and is back at the same level as it was 2 years ago.

Proportion of the S&P 500 made up by top 5 names by size

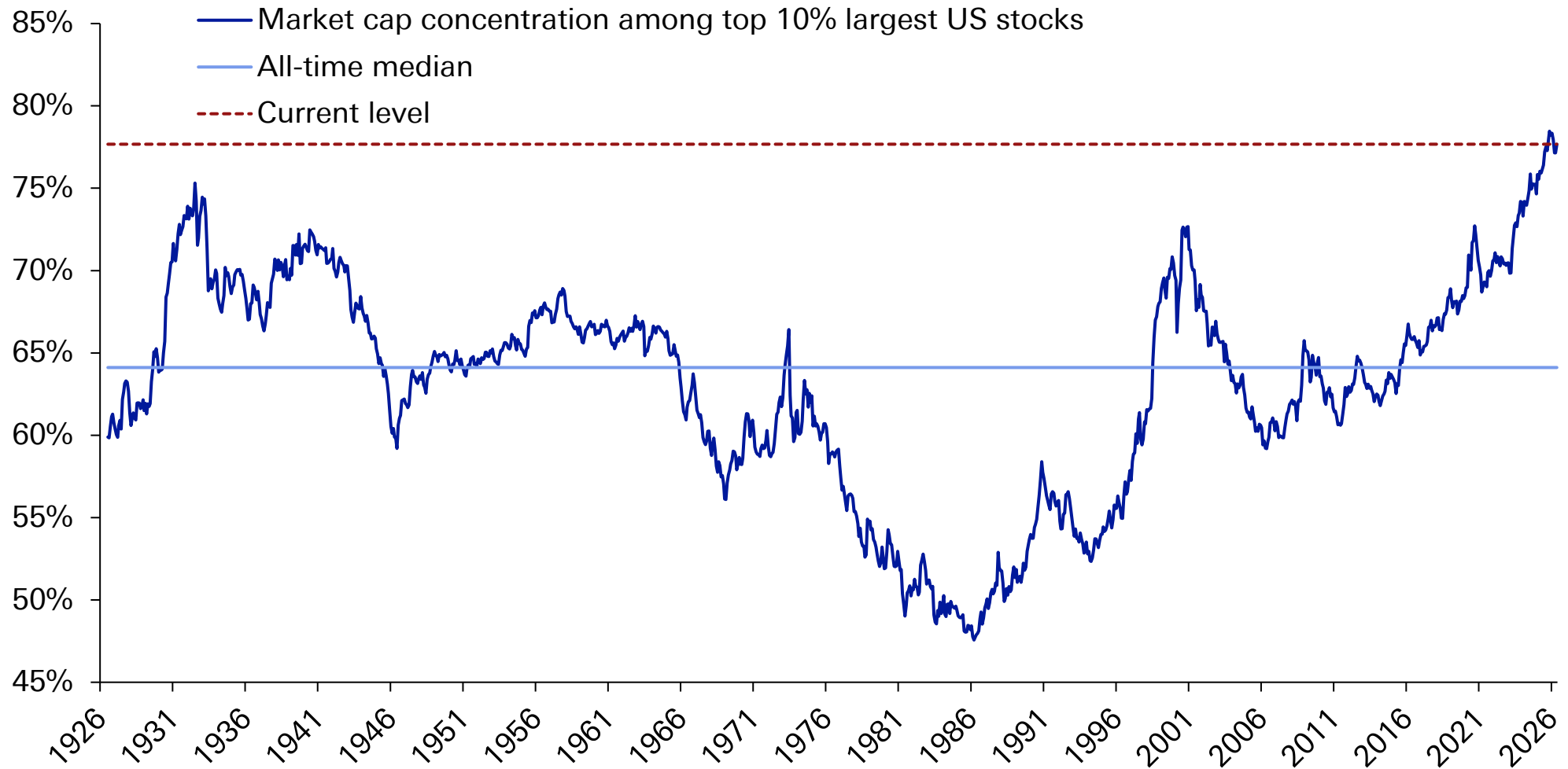


Source: Bloomberg Finance LP, Deutsche Bank. Note: as of June 30.



A similar trend can be seen for the top decile of companies in the whole of the US market, but it's closer to the record level of concentration, showing overall dominance of the wider mega caps beyond the Mag-7

Top 10% of stocks by size versus the entire US stock market



Source: Kenneth R. French database, Deutsche Bank. Note: as of May 2026.

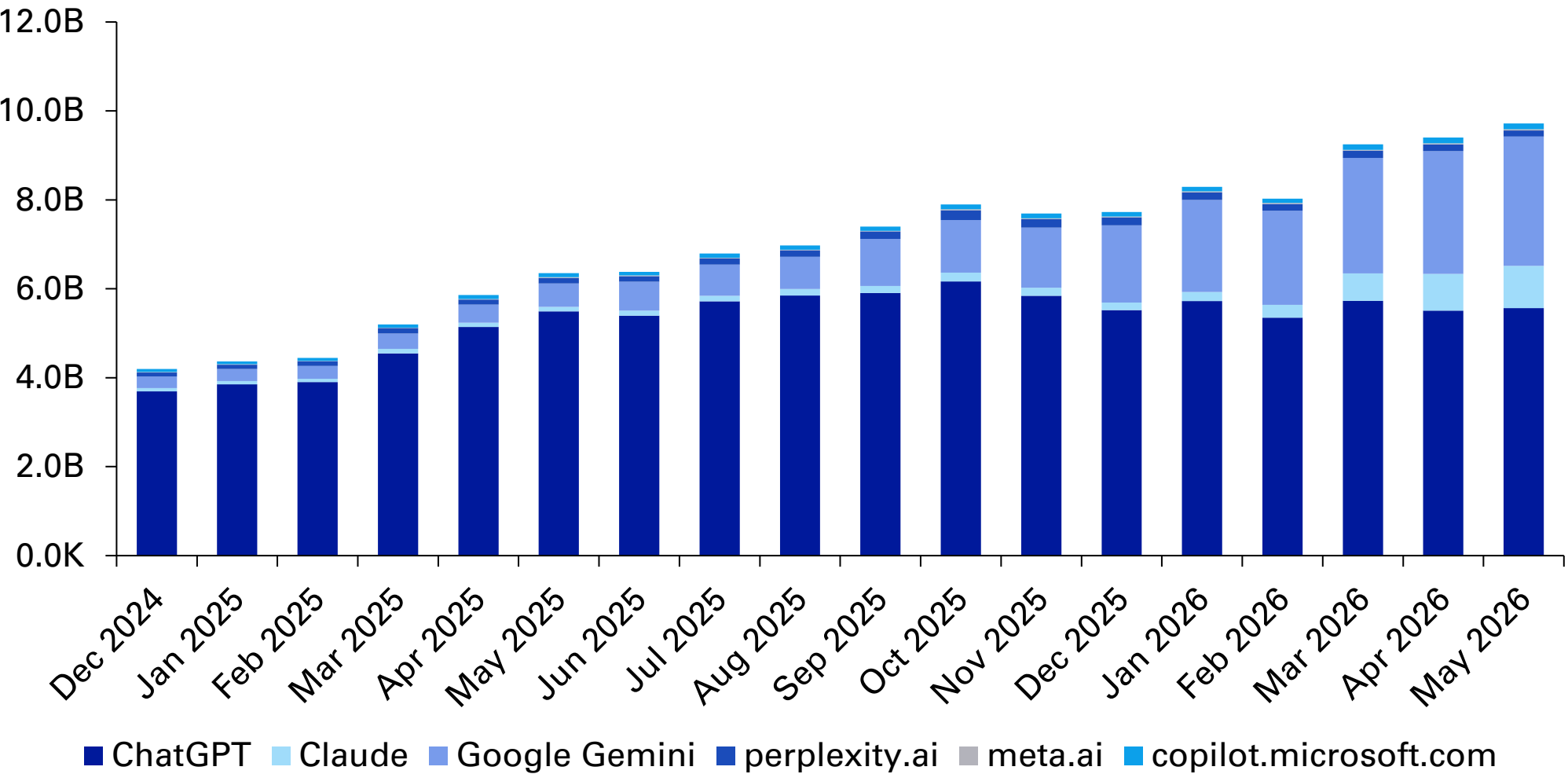


LLMs and jobs..

Visits to LLM sites continue to increase but ChatGPT, which is by far the most popular, is showing signs of losing visitors to the likes of Gemini and Claude...



Combined Top LLM Combined Visits

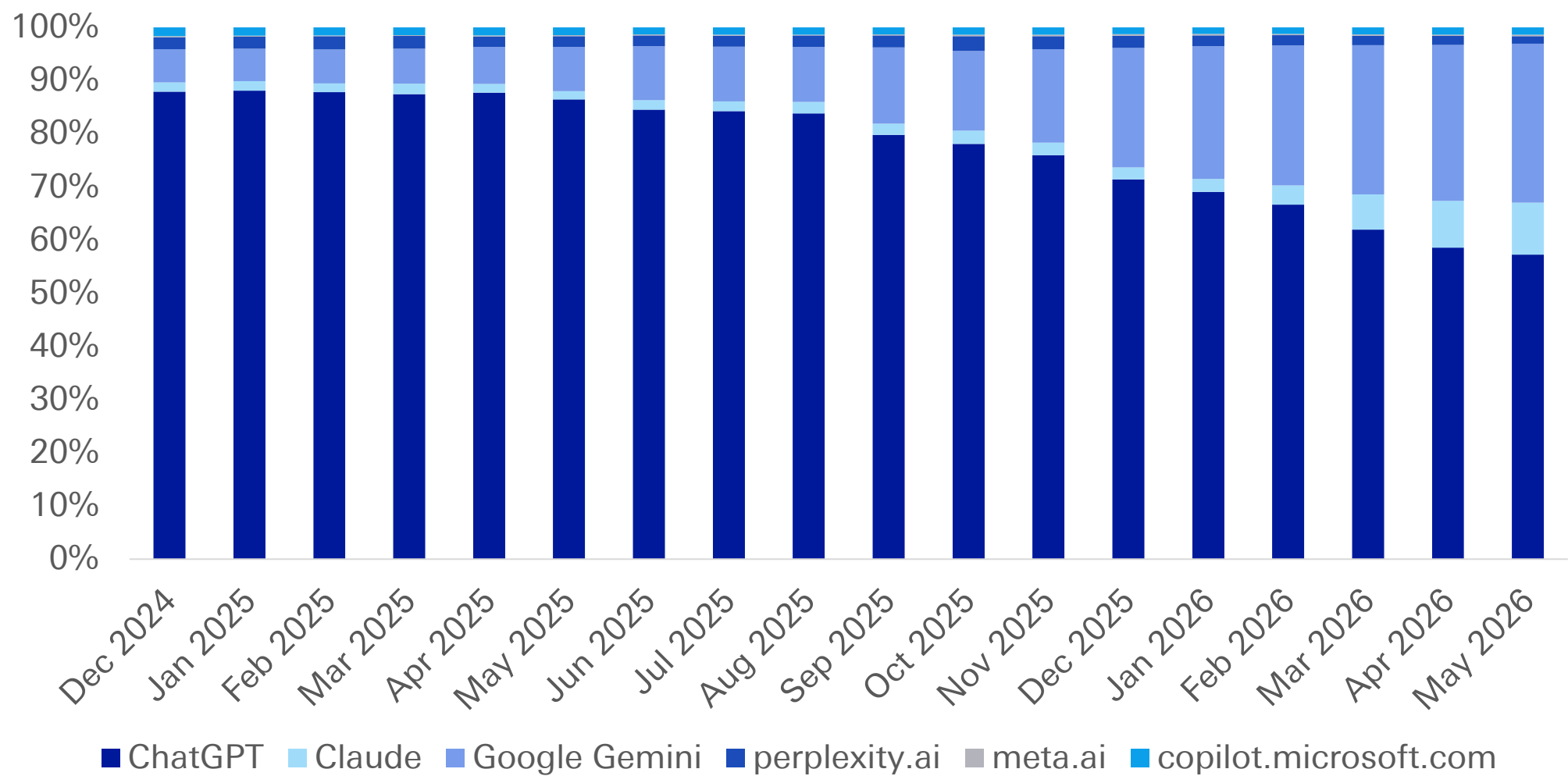


Source: Deutsche Bank Research, Similarweb

This changing market share can be seen more starkly here...



% Share of Total Top LLM Visits

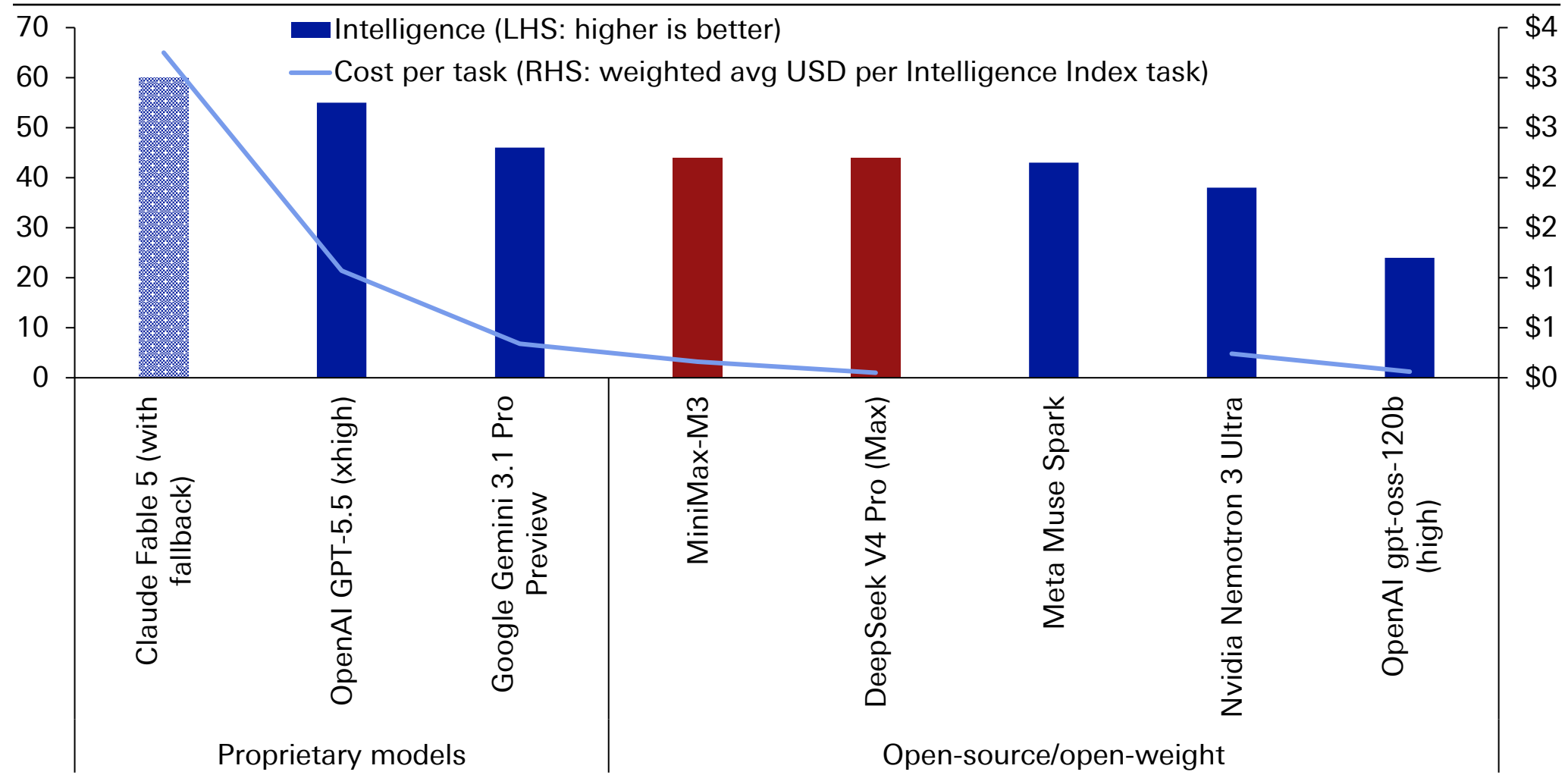


Source: Deutsche Bank Research, Similarweb



The cost of tokens for the frontier models is exponentially higher than still very intelligent mid-tier models.... This is one of the biggest challenges for wide enterprise adoption....

Cost of frontier and other models....

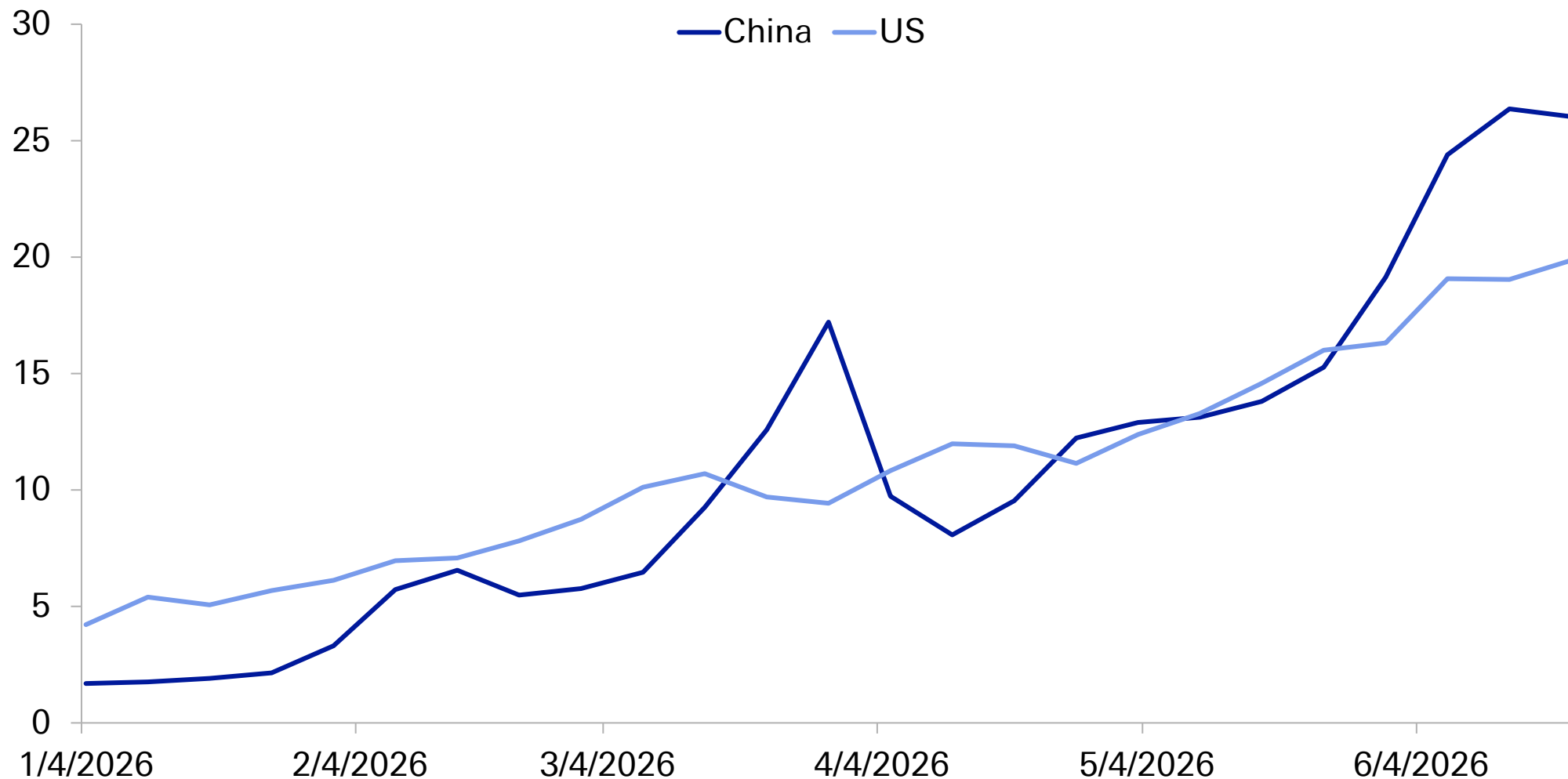


Source: Artificial Analysis Intelligence Index. "Fallback" mechanism routes safety-flagged messages to Opus 4.8 model. Meta Muse Spark price not available. US models in blue; Chinese models in red

Weekly token usage of the top models on OpenRouter indicates that the number of tokens processed by US models has risen fivefold this year to 20 trillion, convincingly outpaced by a thirteenfold increase by cheaper Chinese models to 26. Interesting as enterprise grapples with surging token costs. For more see Adrian Cox's piece on what the current AI IPO wave means for the sector and broader markets [here](#)



The number of tokens processed by OpenRouter using Chinese models has overtaken tokens processed using US models this year (trillion).

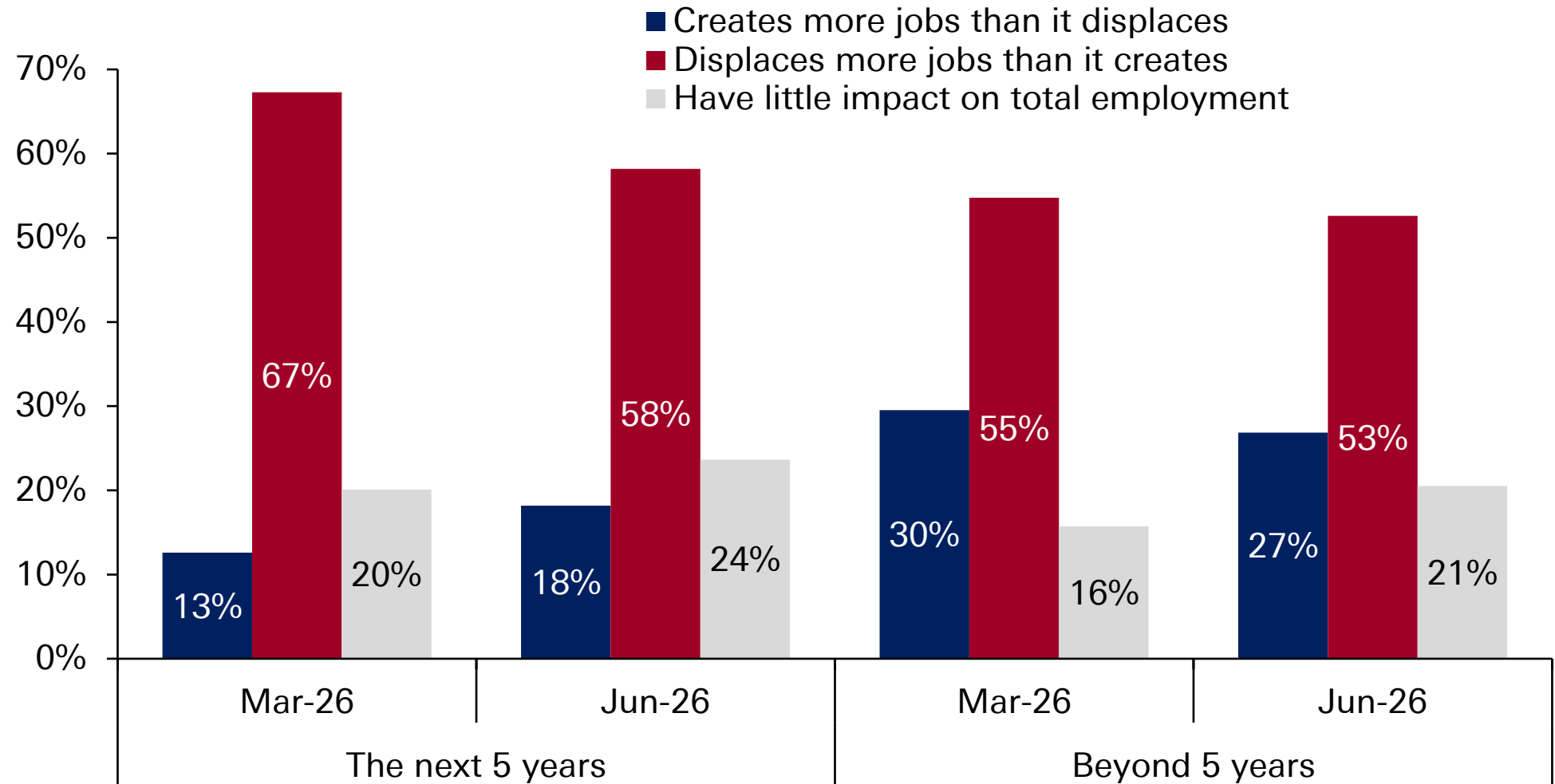


Source : OpenRouter, Deutsche Bank Research

Market sentiment on AI's impact on jobs remains pessimistic, but we saw a small improvement in our June versus March survey.



For the following time horizons, which best describes your expectation for the AI's impact on employment? Assume a scenario where AI adoption stays on its current trajectory. AI will...

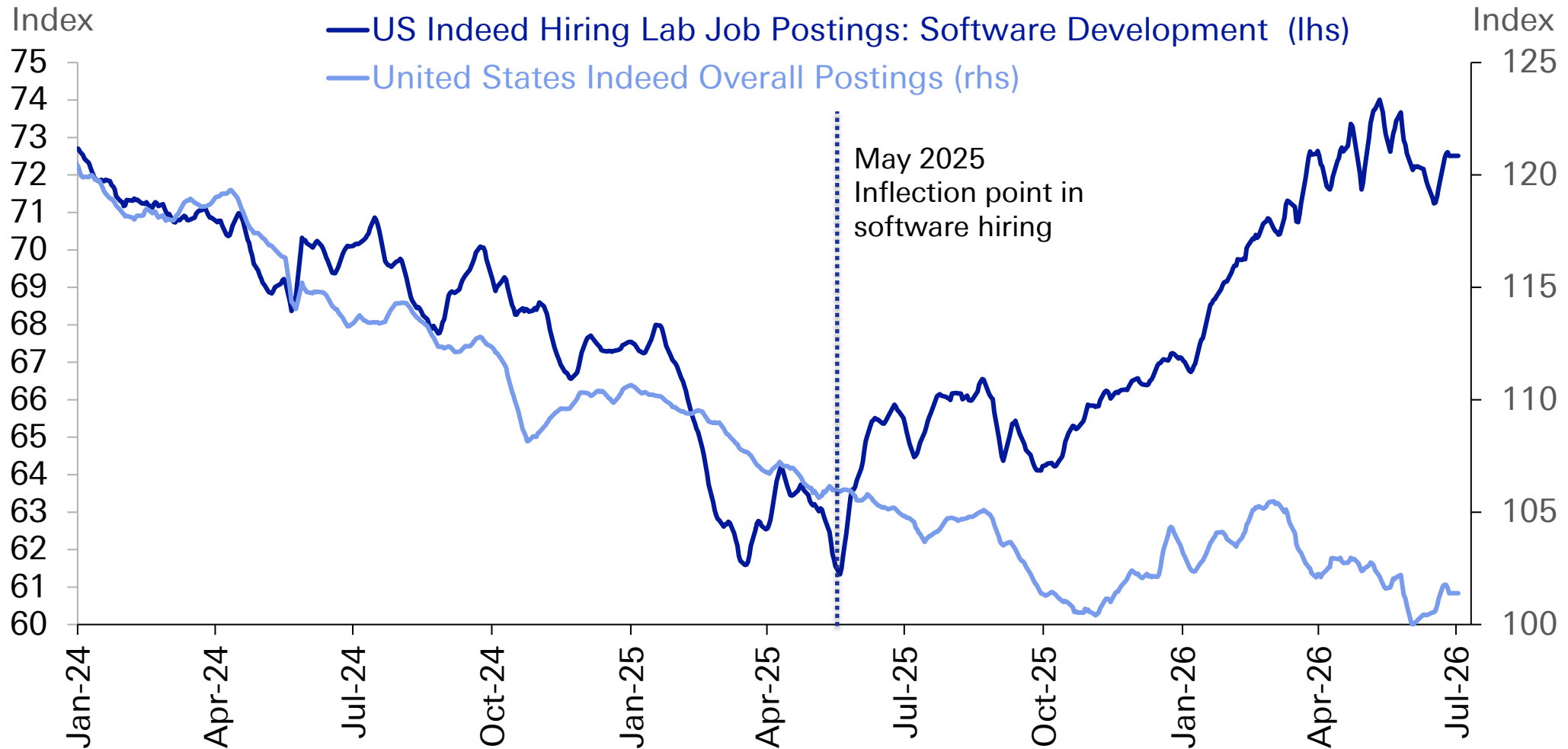


Source: dbDataInsights Survey, Deutsche Bank Research

However as an example so far, AI has made software jobs more valuable rather than cause displacement



US Indeed Lab Job postings



Source : Bloomberg Finance LP, Deutsche Bank, Last update: July 3

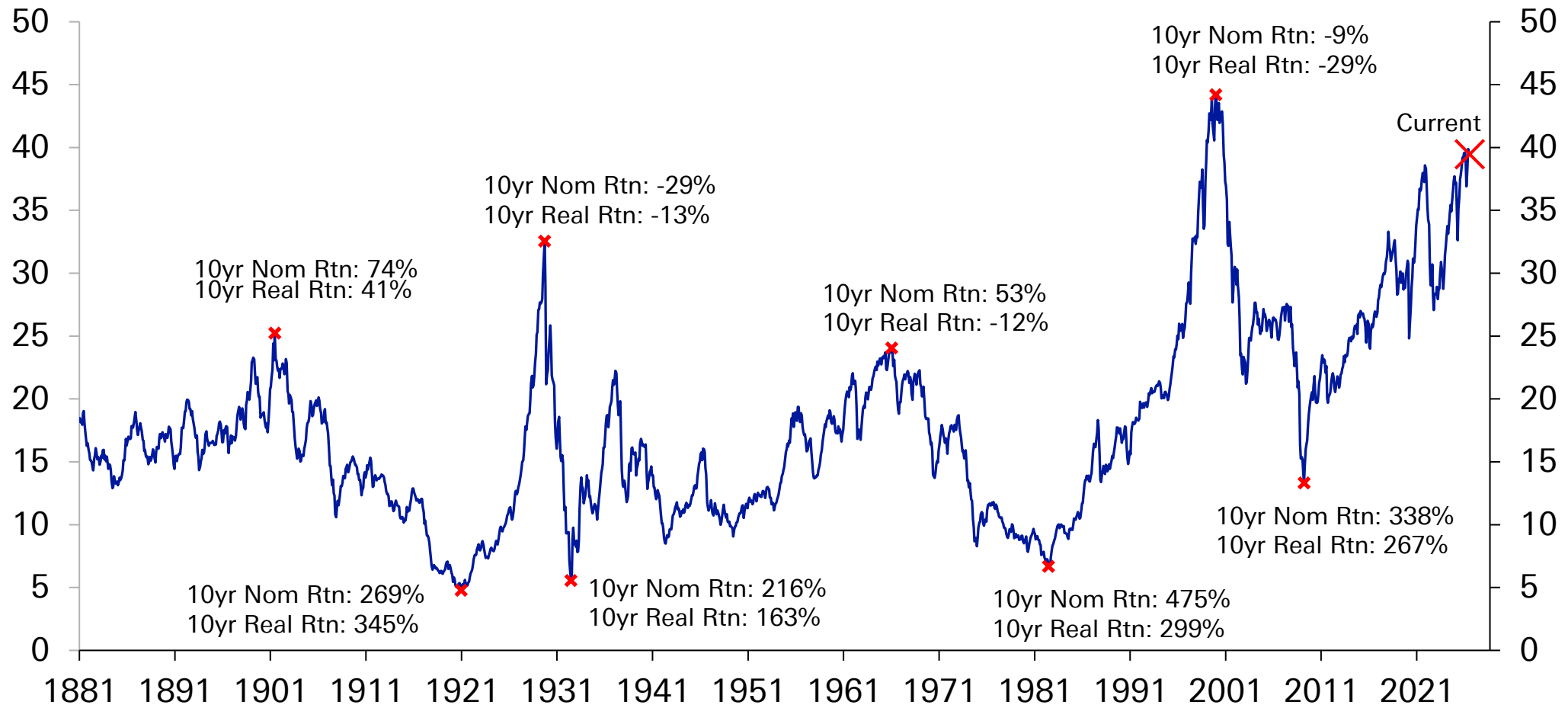


Partying like its 1999...

We remain close to the most expensive US equity valuations in history seen back in 2000. This measure looks at rolling 10yr real earnings to try to eliminate cyclical... The bulls would say this will fall as the breakout in tech earnings continues...



S&P 500 Cyclically Adjusted Price Earnings Ratio

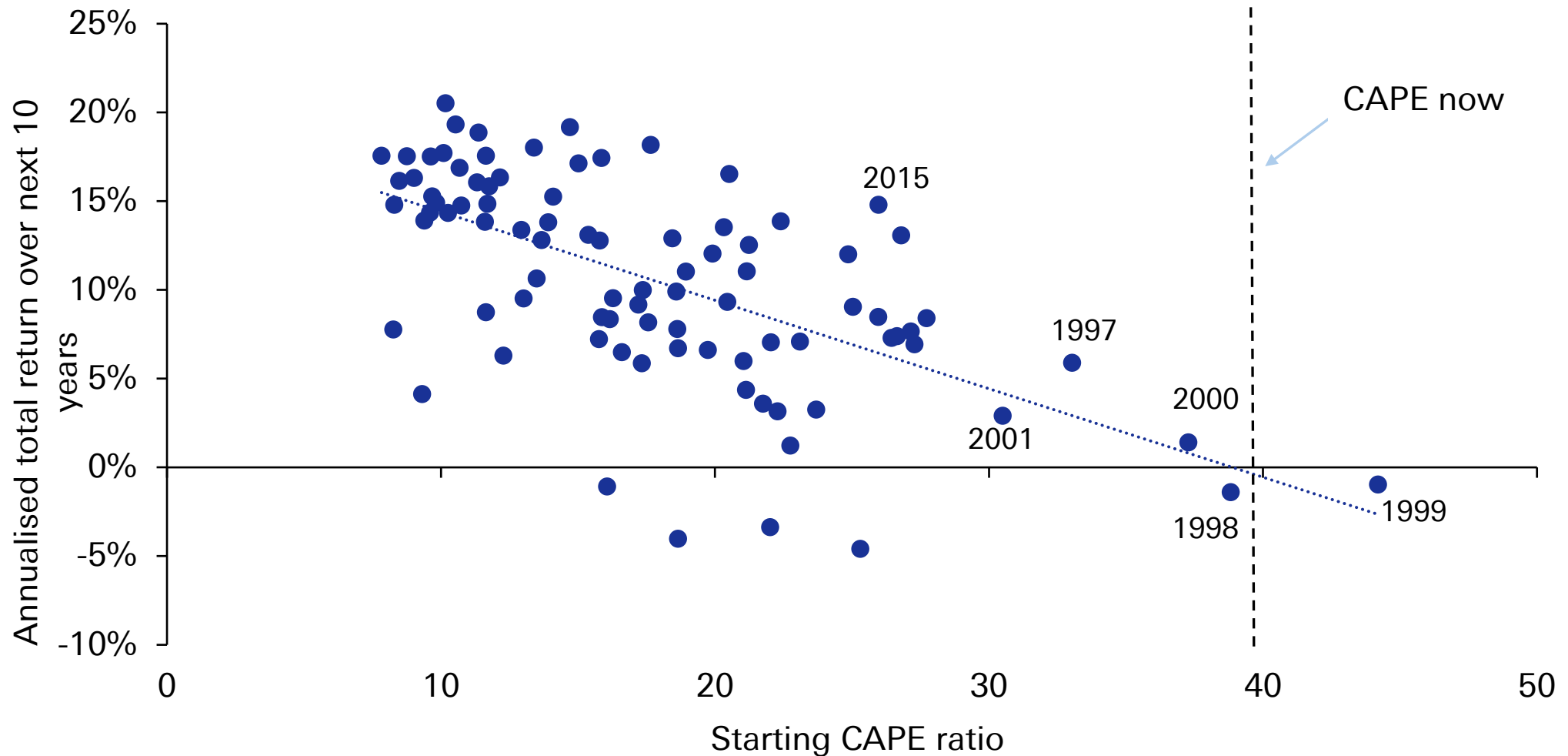


Source: Robert Shiller, Deutsche Bank.



When the CAPE ratio has been as high as the current starting point, subsequent returns have been very weak... however, there's a small sample size around the dot com bubble, and the subsequent decade included the GFC... As a minimum though starting valuations have correlated well to next 10-year returns...

CAPE Ratio since 1927 and annualised S&P 500 total return over the next 10 years



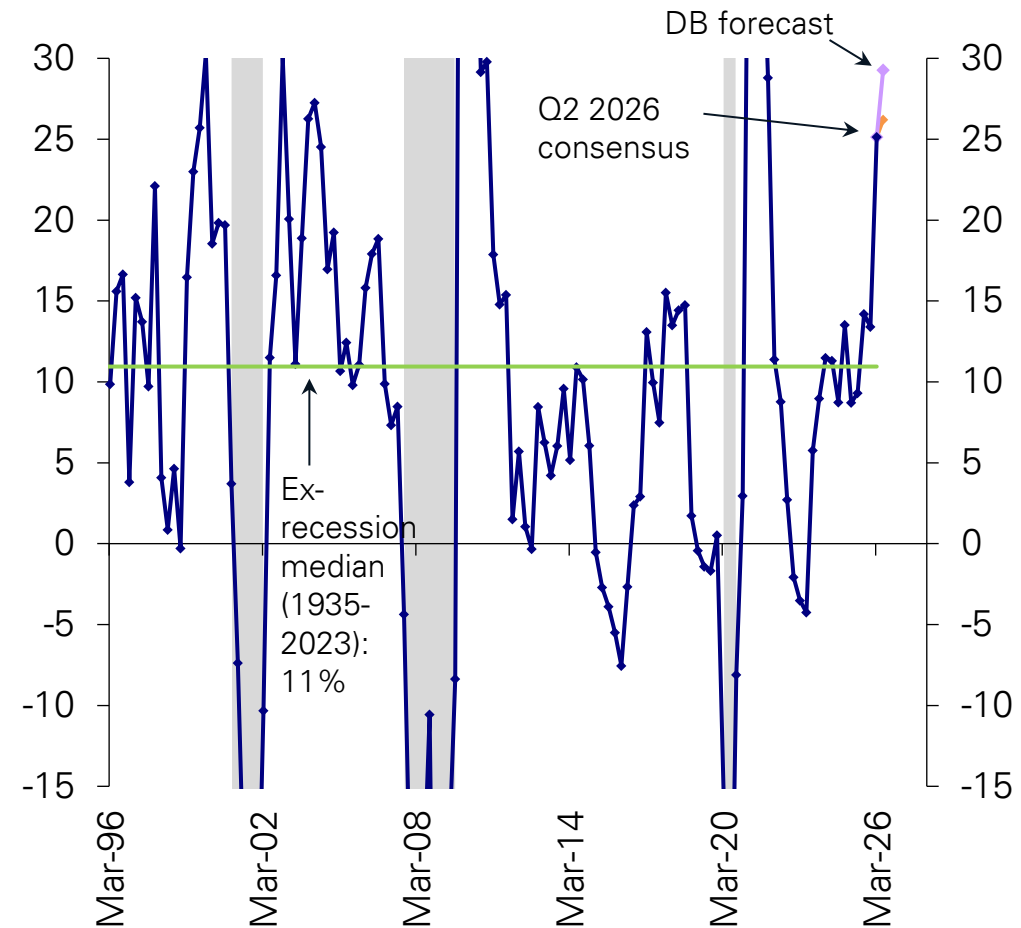
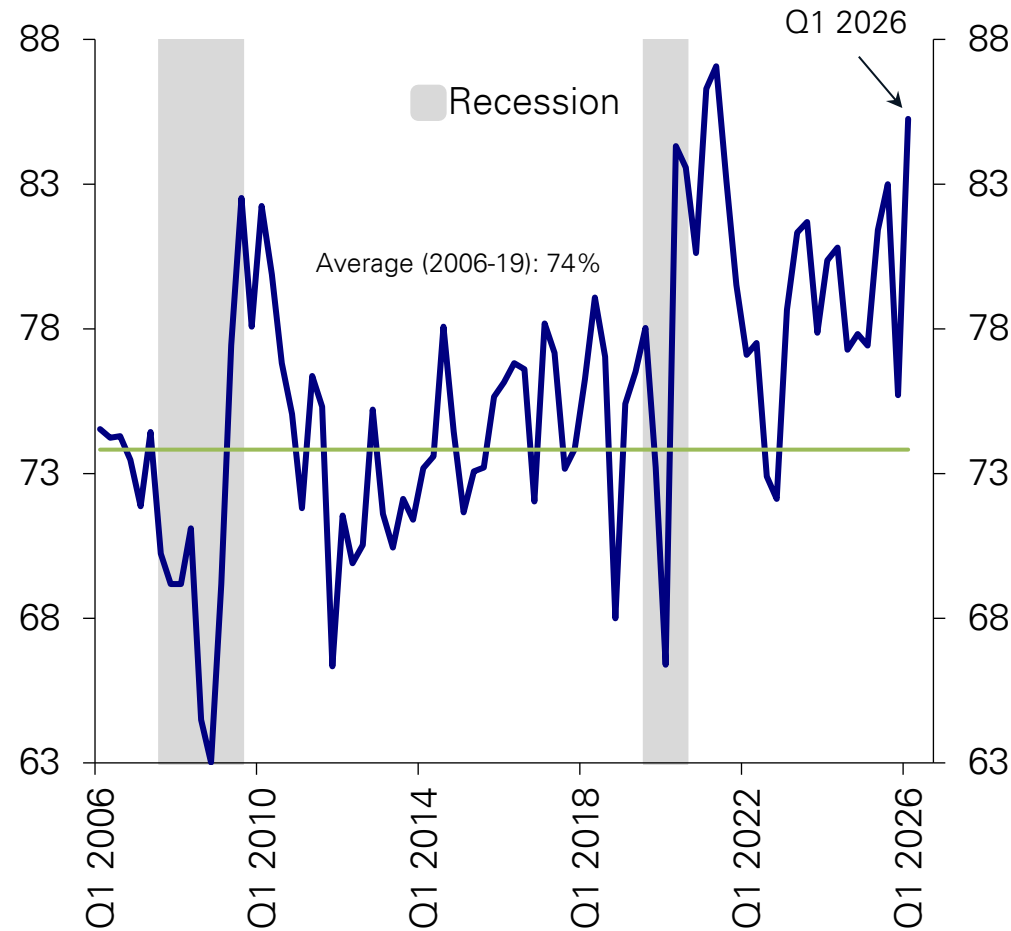
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank

The bull case would be a breakout in earnings. According to our equity analysts, Q1 was arguably the best non-recessionary bounce-back earnings seasons in around 30 years.



Proportion of S&P 500 beating earnings estimate (%)

S&P 500 quarterly earnings growth* (% yoy)



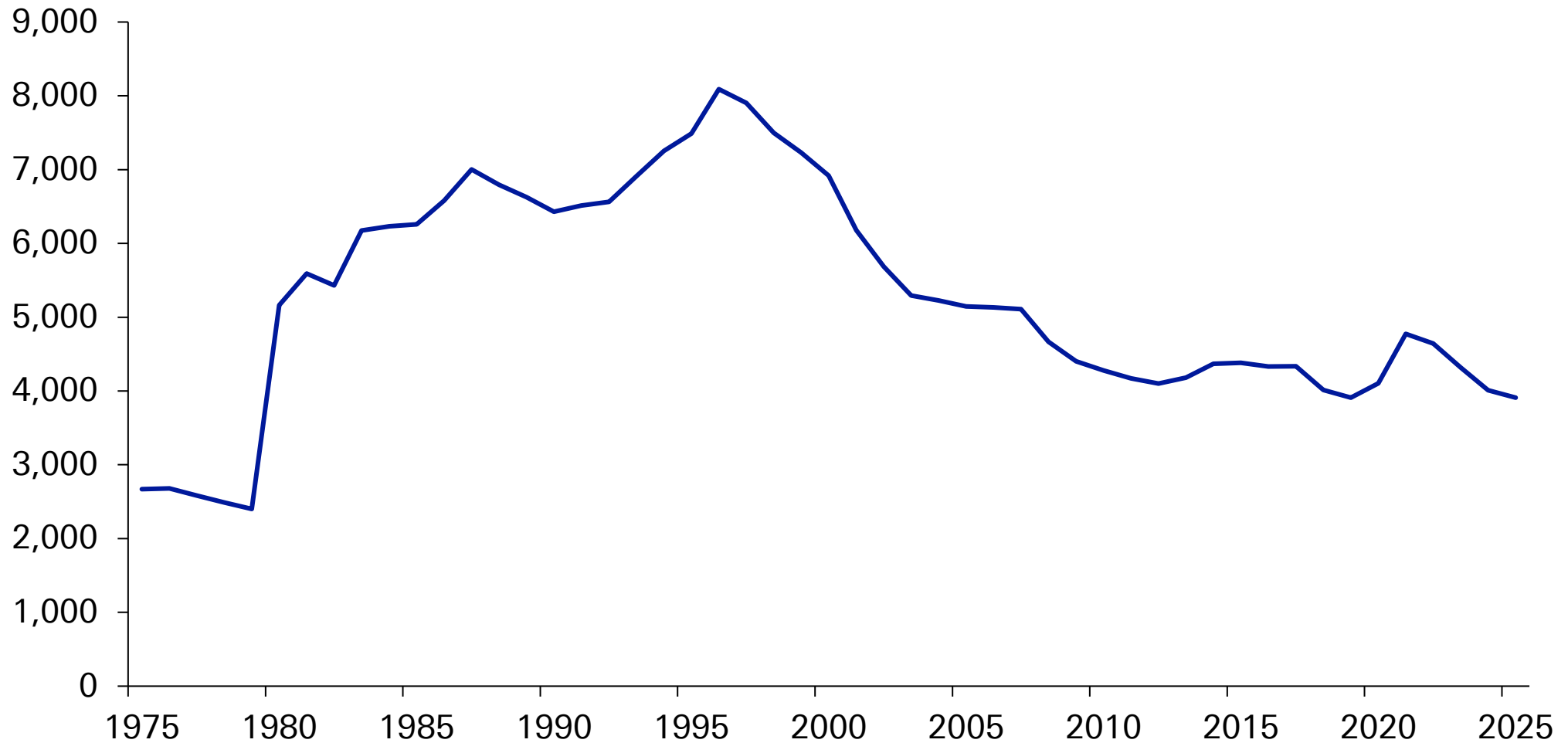
*Excluding 2018 tax cut

Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation, *Excluding 2018 tax cut

This is a different equity market to the late 1990s. The number of listed companies is now the lowest since the early 1980s. Private markets have impacted this.



Number of listed domestic companies in the US

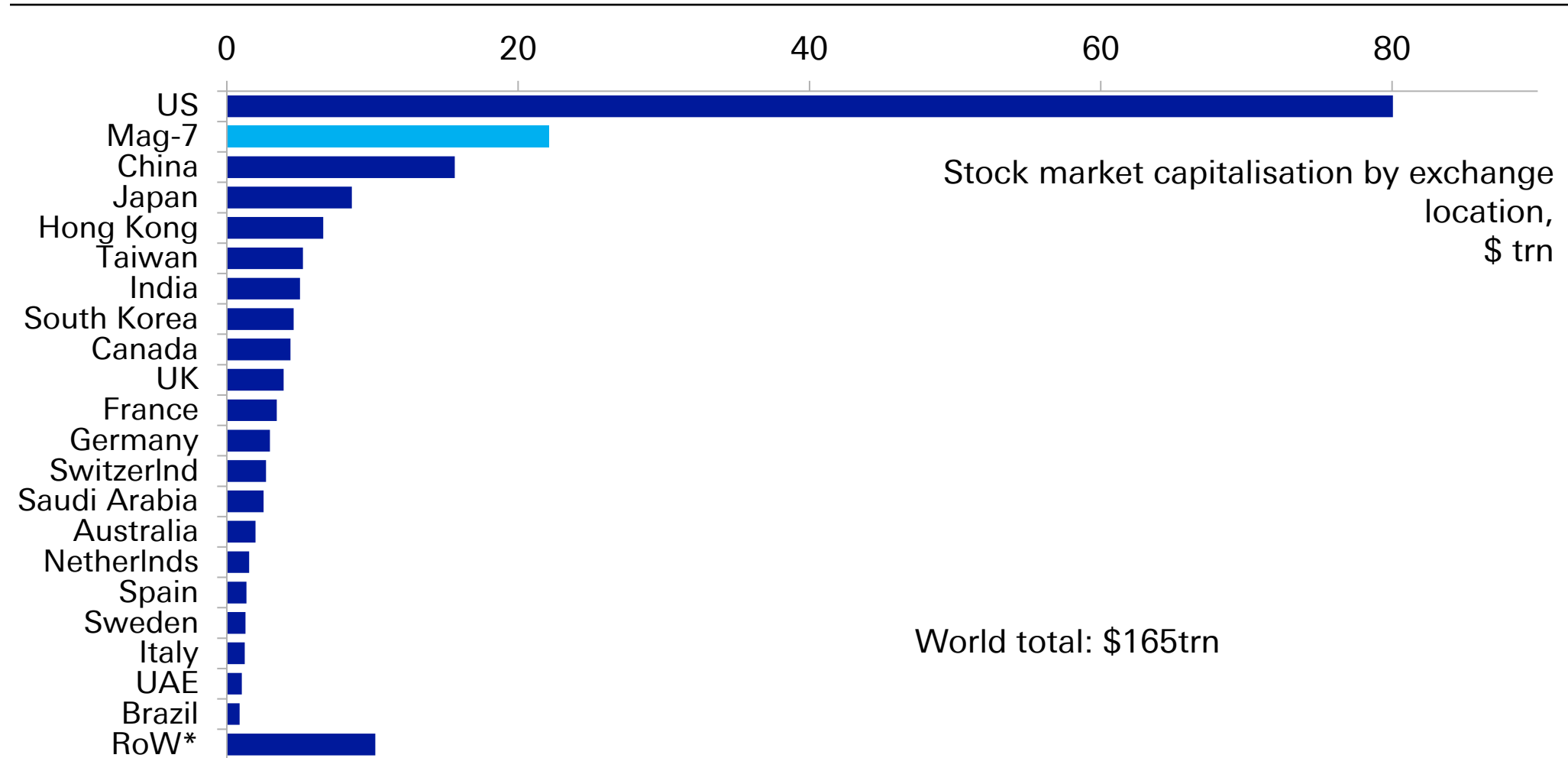


Source: World Bank, Deutsche Bank.

The US now accounts for almost half of global equity market capitalisation, despite representing only around 25% of global GDP and roughly 4.5% of the world's population.



The US accounts for nearly half of the world's public stock market capitalisation



Source: Bloomberg Finance LP, Deutsche Bank Research; Data as of 1st July 2026* Rest of World comprises of a further 62 country exchanges



Rest of the World vs US equities

The World Ex-US equity index was flat for 17yrs until 2025.
Since then we've seen large gains...



iShares MSCI ACWI ex U.S. ETF

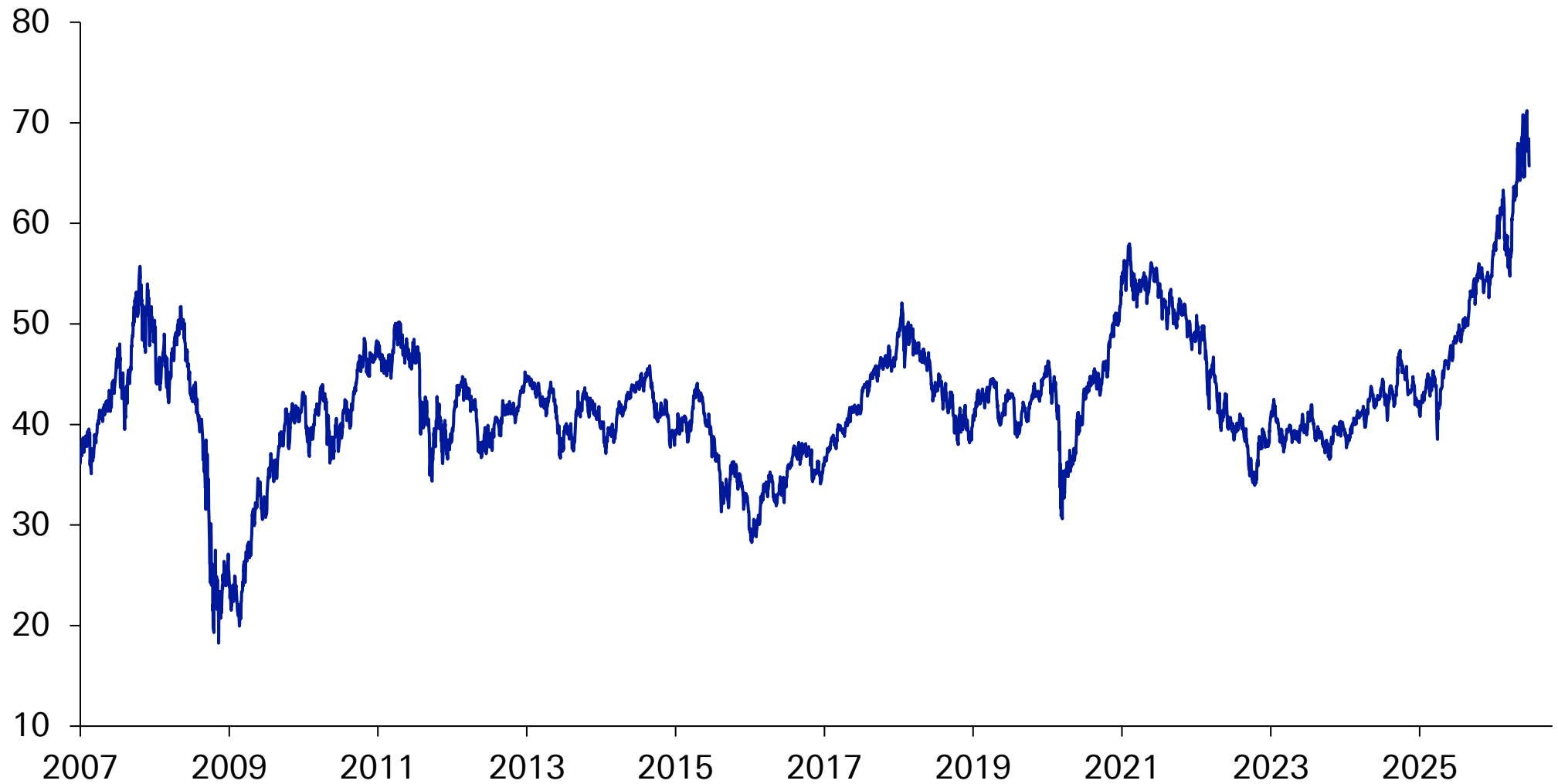


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

It's a very similar story for EM equities...



iShares MSCI Emerging Markets ETF

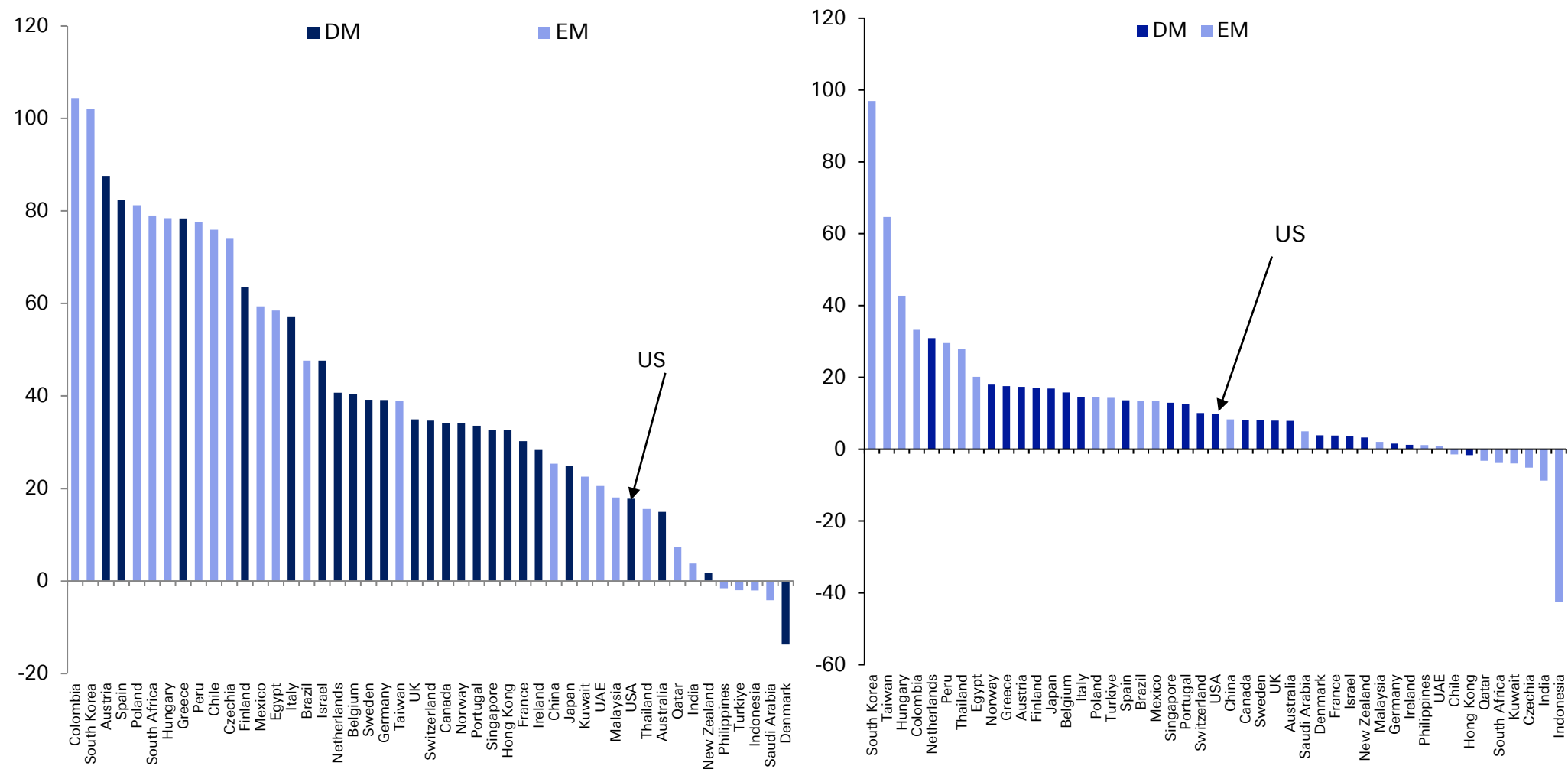


Source: Bloomberg Finance LP, Deutsche Bank; Last update: July 3

Even if it feels US equities are surging, note that last year their returns were in the bottom quartile globally and this year they are around half-way in the global rankings. So good returns but not the global leader it was pre-2025



Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

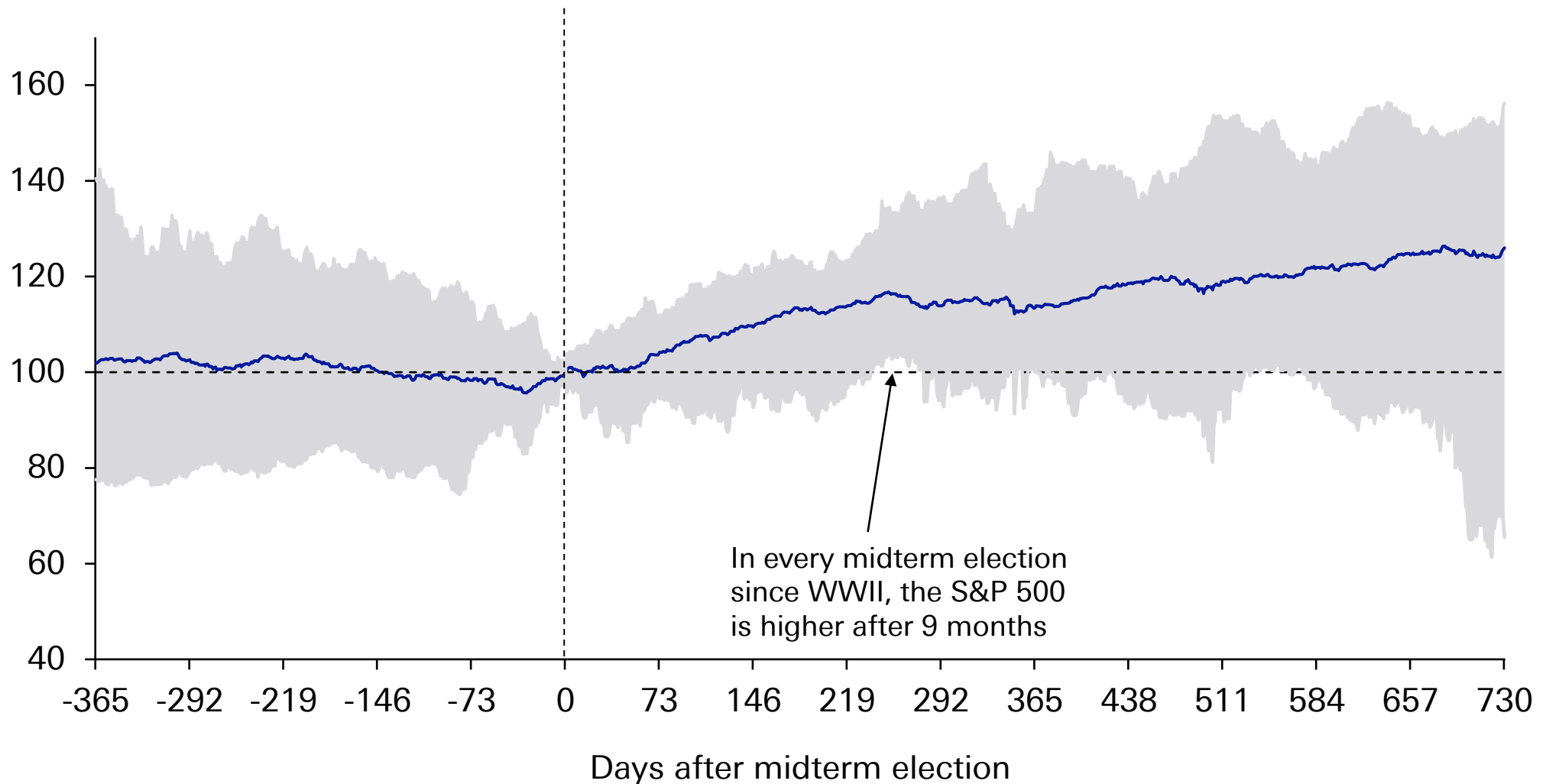


Source: Bloomberg Finance LP, Deutsche Bank, Note: 2026 YTD is updated through July 2

There could be support for the US to come. The S&P 500 has a strong record after midterm elections... in the 20 midterm elections since WWII, the S&P 500 has risen after 9 months every single time...



Average S&P 500 Performance after midterm elections since WWII (with range)



Source: Bloomberg Finance LP, Deutsche Bank

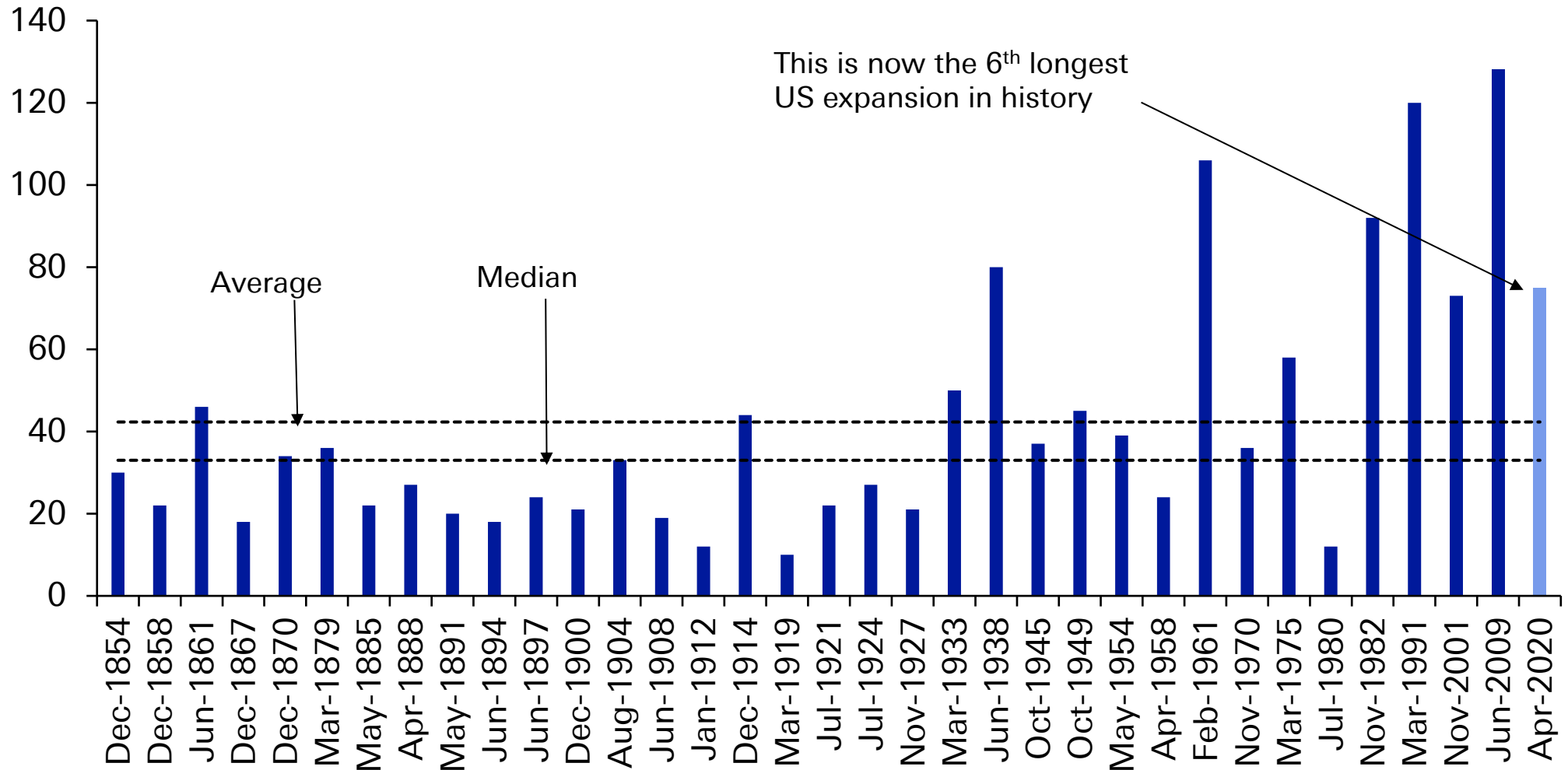


The US economy needs rate hikes... but...

All of a sudden this US cycle is the 6th longest in history. It will enter the top 5 if we avoid a 2026 recession



US Business Cycle Expansion Length (Months)

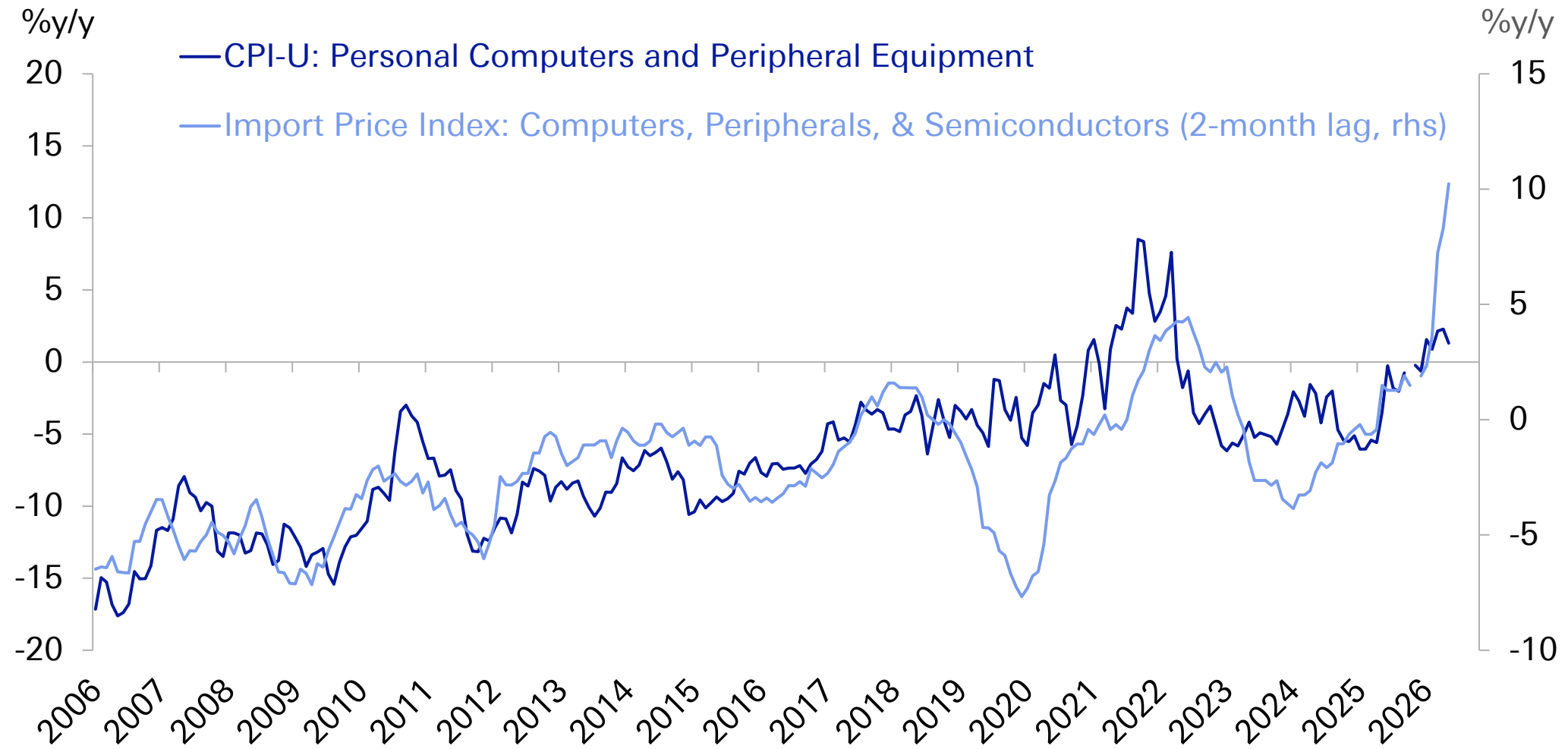


Source : NBER, Deutsche Bank

Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary... quite the opposite... part 1



AI is impacting inflation

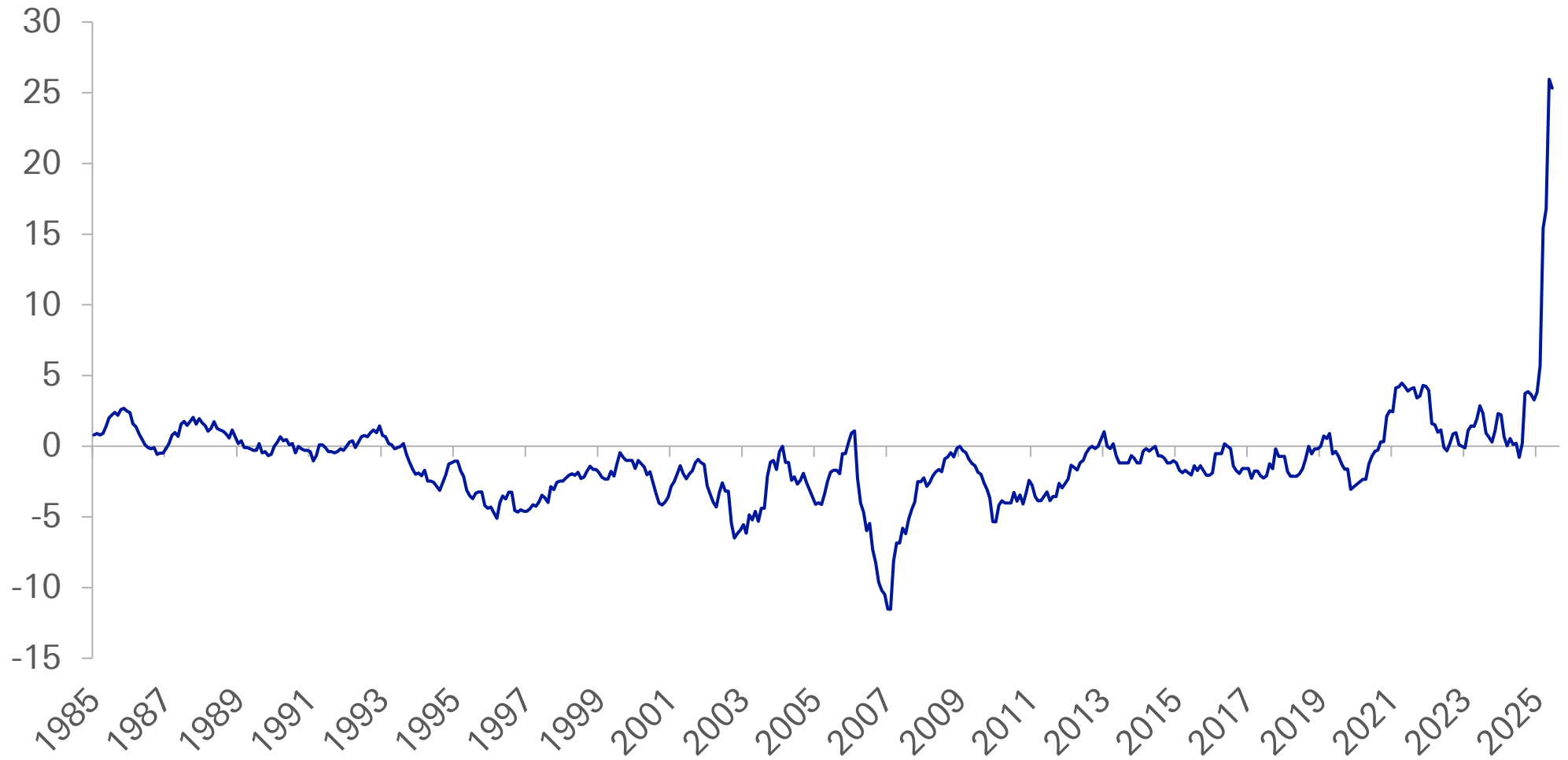


Source: BLS, BEA, Haver Analytics, Deutsche Bank

Contrary to popular belief, especially early this year, there are no signs that AI is disinflationary... quite the opposite... part 2



PPI: Semiconductor & Other Electronic Component Mfg

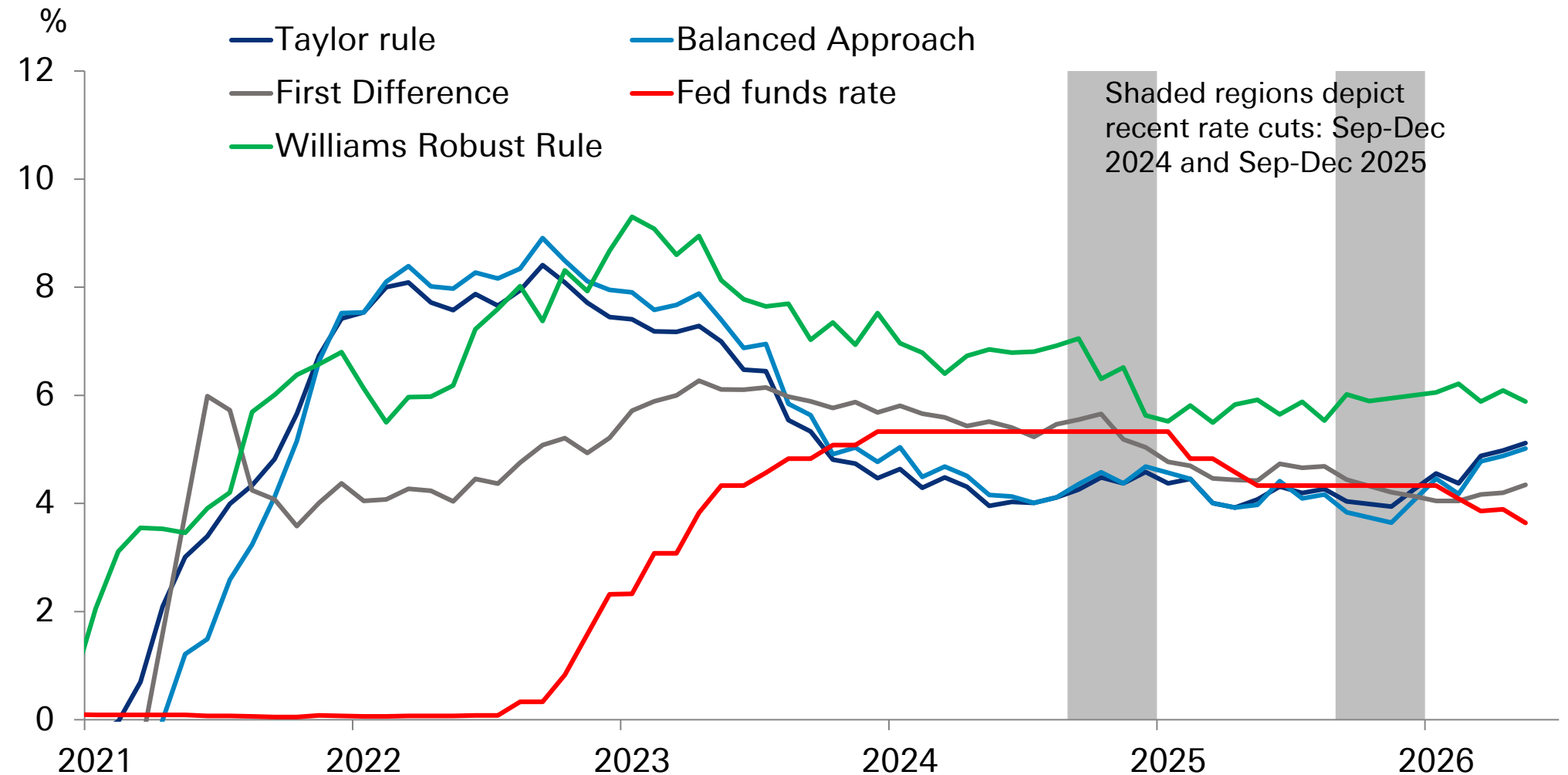


Source: Bloomberg Finance LP, Deutsche Bank



At the moment, the bigger risk in the US is overheating rather than weaker growth. DB believe that Fed Funds are too low under all reasonable policy rules...

Fed funds rate is below policy rule prescriptions after the last round of insurance cuts, even with Fed's r^* estimate (included in this chart). It would be a larger gap under DB's r^* estimate....

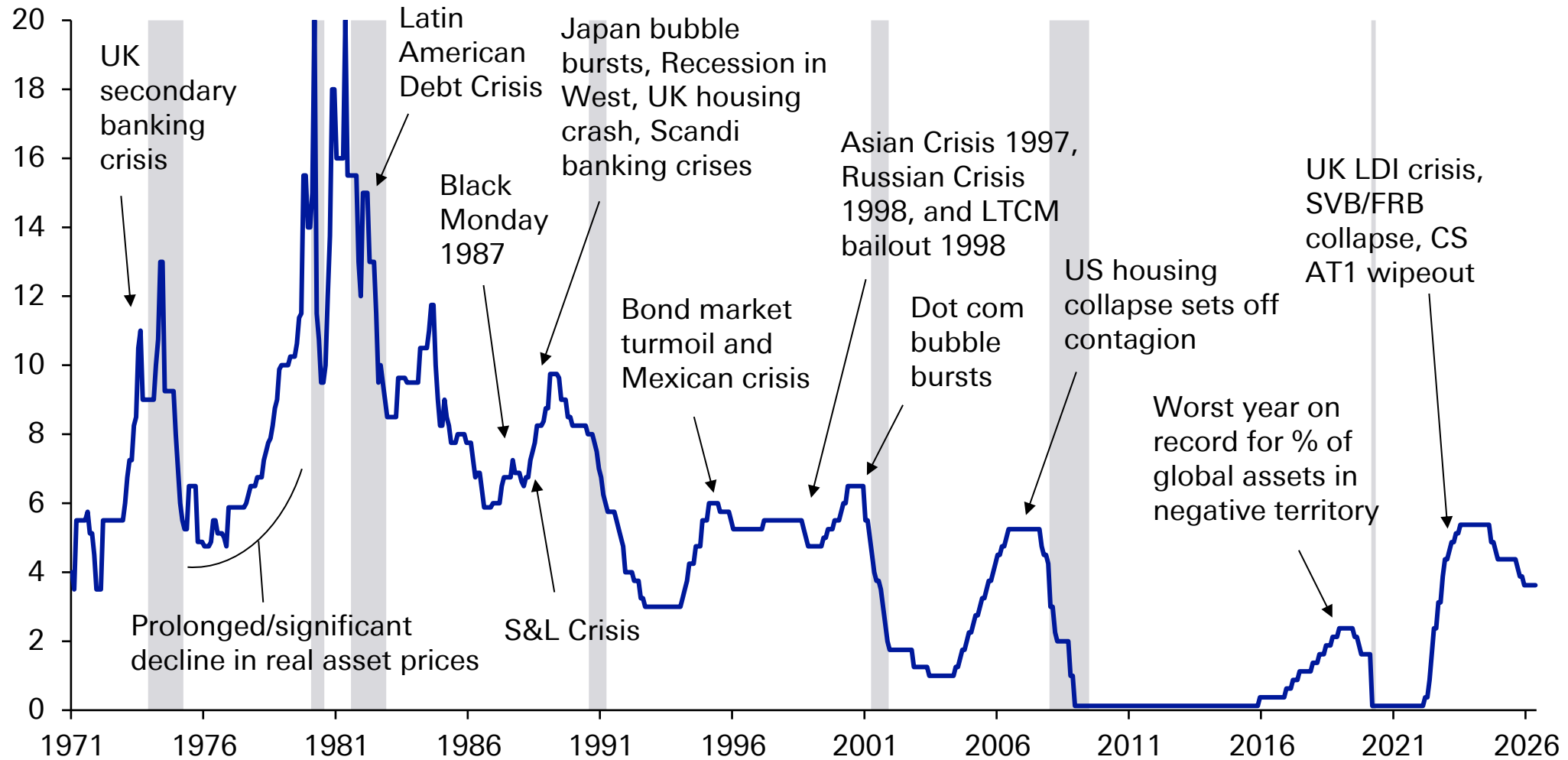


Source: FRB, BLS, CBO, Haver Analytics, Deutsche Bank Research

If we do get rates hikes, note they often coincide with some sort of financial turmoil or the bursting of an asset bubble



Federal Funds Rate (with recessions shaded) and crises annotated

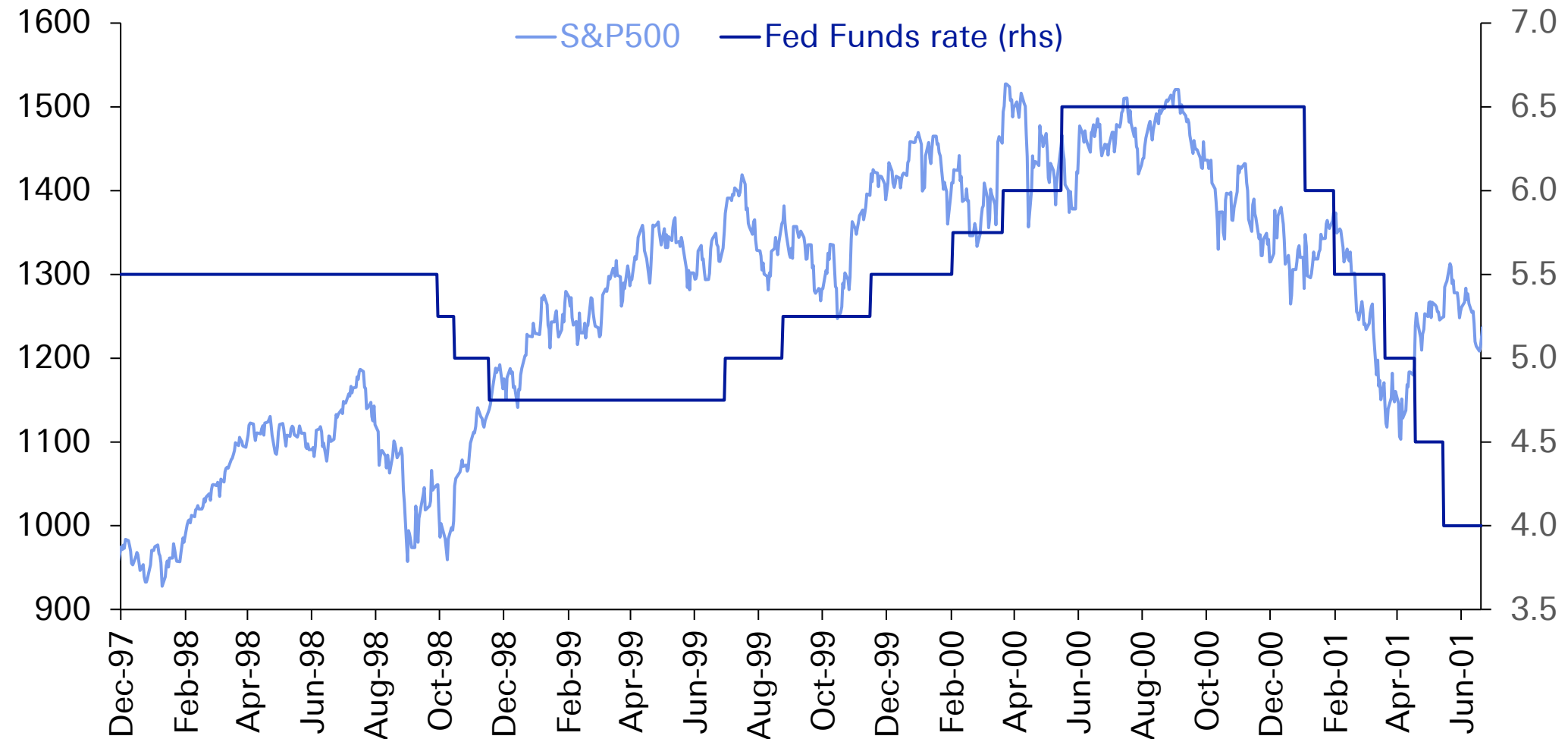


Source: Bloomberg Finance LP, Deutsche Bank

After the insurance cuts of 1998, the Fed raised rates 6 times between May 1999 and June 2000.



S&P 500 Index vs. Fed funds rate



Source: Bloomberg Finance LP, Deutsche Bank

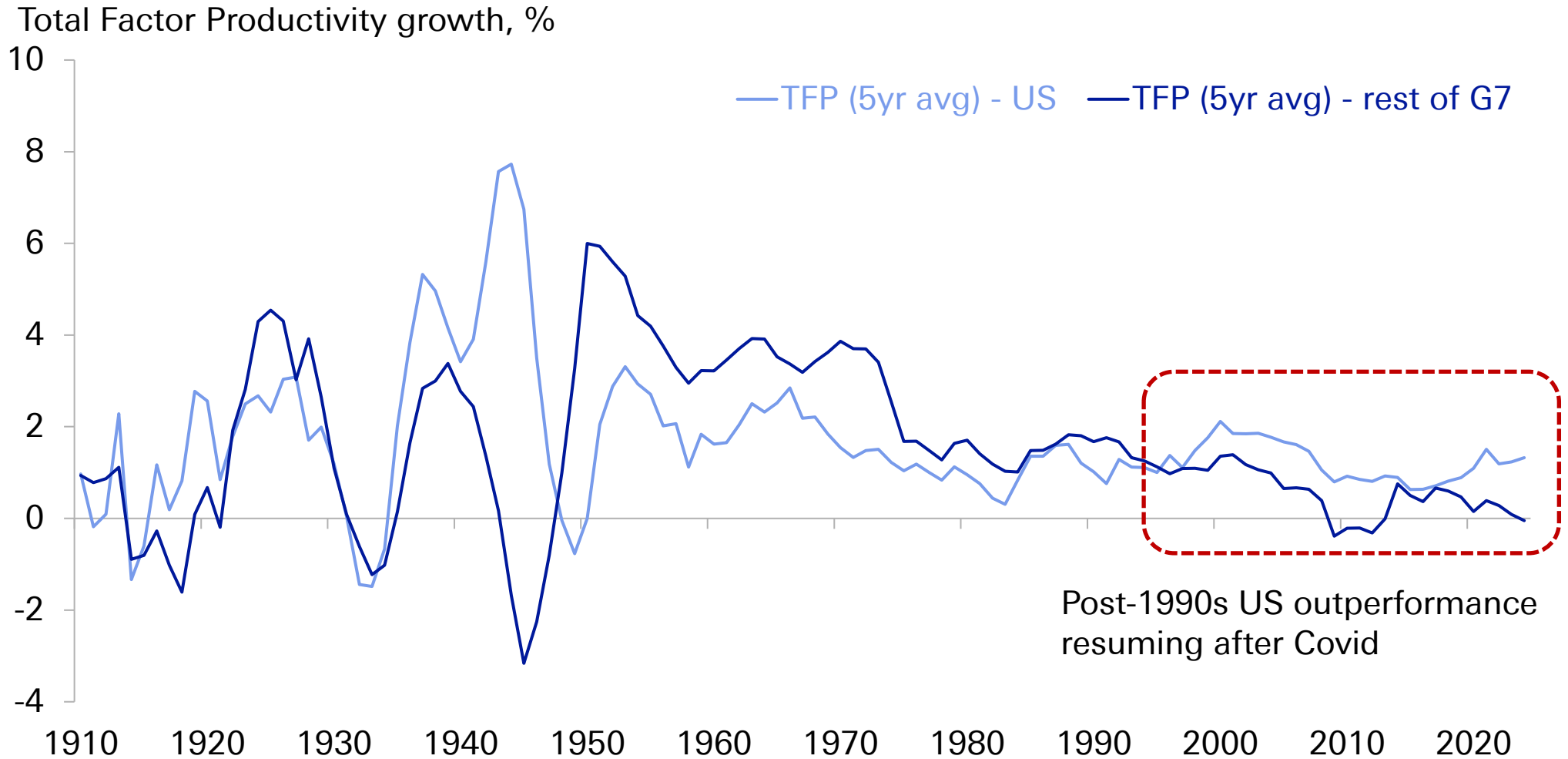


Does an imbalanced US economy matter?

The US has maintained a clear productivity advantage over its peers since the mid-1990s, with productivity growth rising above its post-1970s average in the years since Covid.



The US has resumed its productivity outperformance in recent years

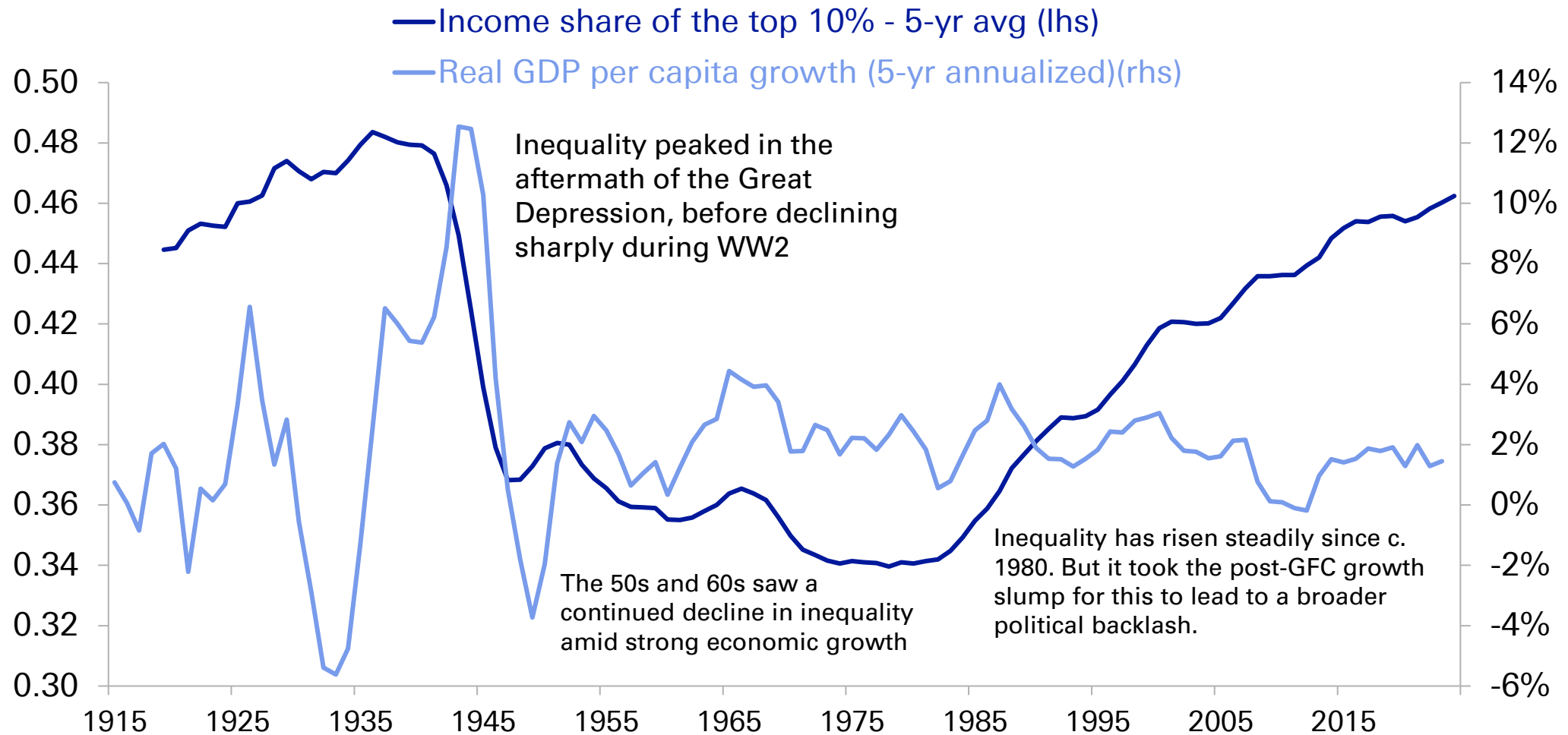


Source: Deutsche Bank Research, www.longtermproductivity.com; Note : Rest of G7 is the simple average of Canada, France, Germany, Italy, Japan and the UK

But inequality is getting worse and poses social and political risk...



The rise in inequality since 1980 added to the political challenges facing the US, especially after growth slowed post-GFC

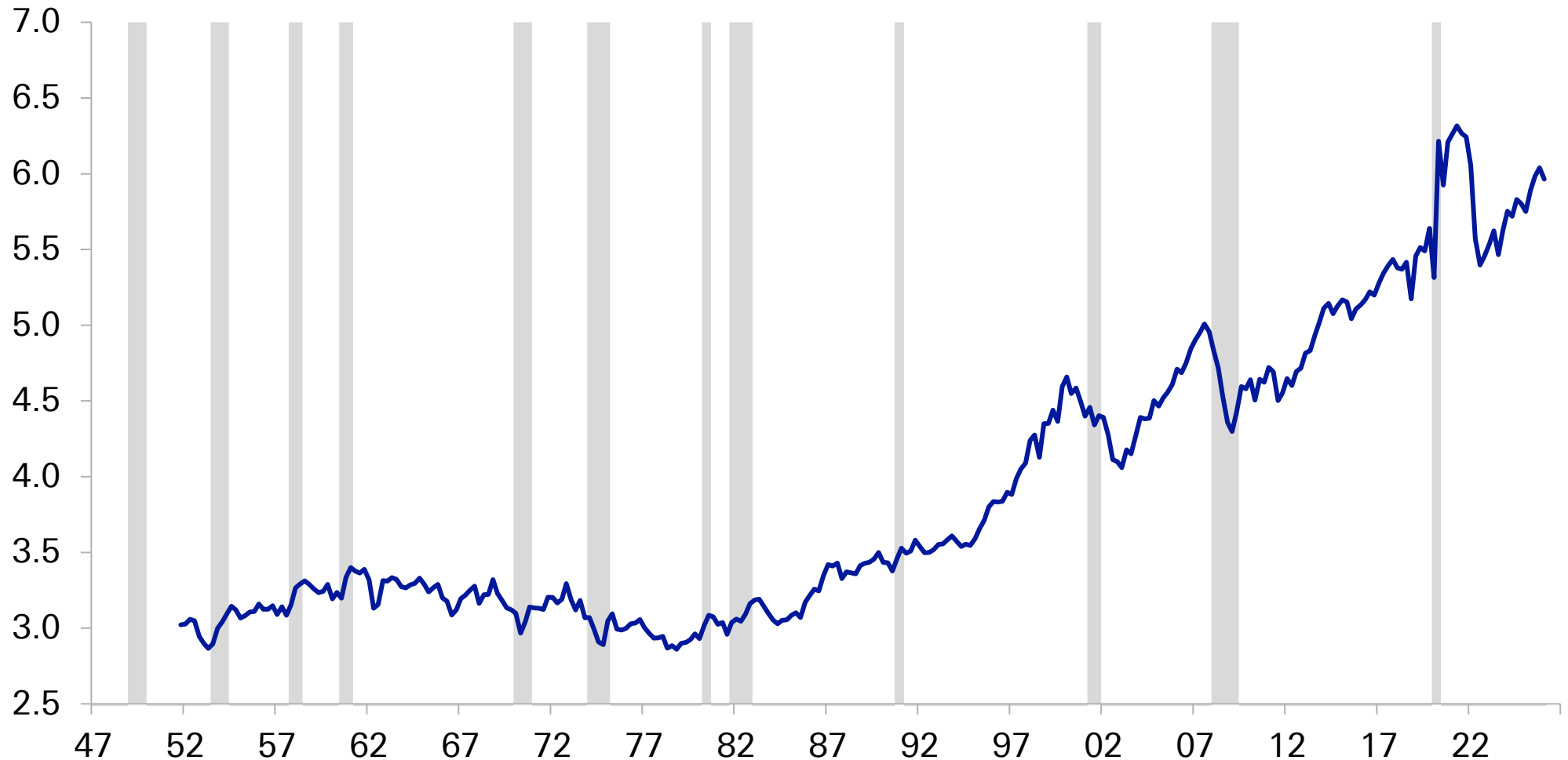


Source: Finaeon, World Inequality Report

US wealth to GDP is approaching the highs again. It dipped due to the bond market sell-off in 2022 but equities have helped it increase again...



US Private sector Financial assets to GDP ratio

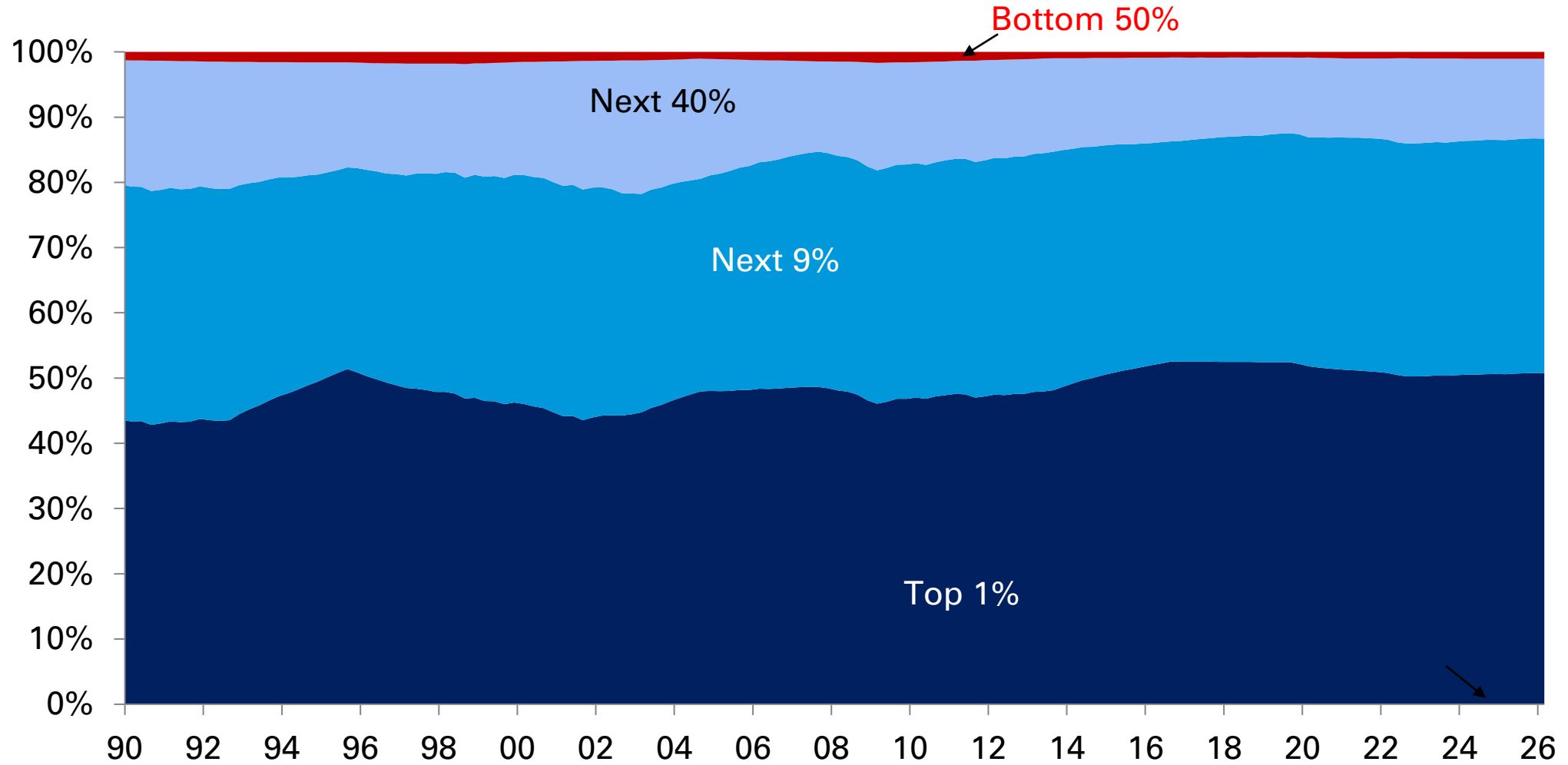


Source: FRB, Haver, Deutsche Bank

The bulk of US equity holdings are concentrated among the top 10% and especially the top 1%..



Equities & Mutual Funds across wealth percentile groups

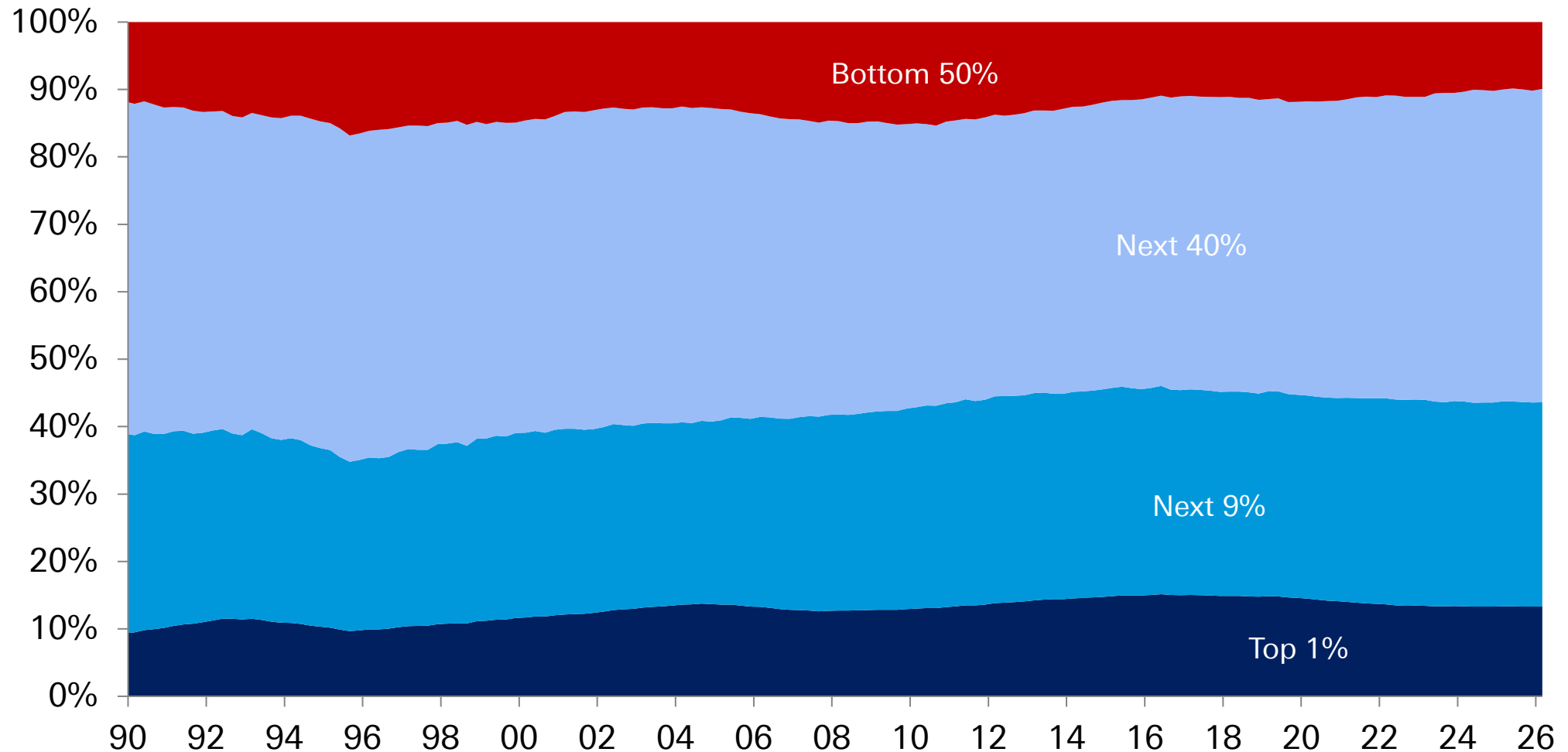


Source: FRB, Haver, Deutsche Bank.

We can see a contrast with real estate even if there is still a divide. The majority is owned outside the top 10%.... Even if the bottom 50% share has declined in the last 30 years...



Real estate assets across wealth percentile groups

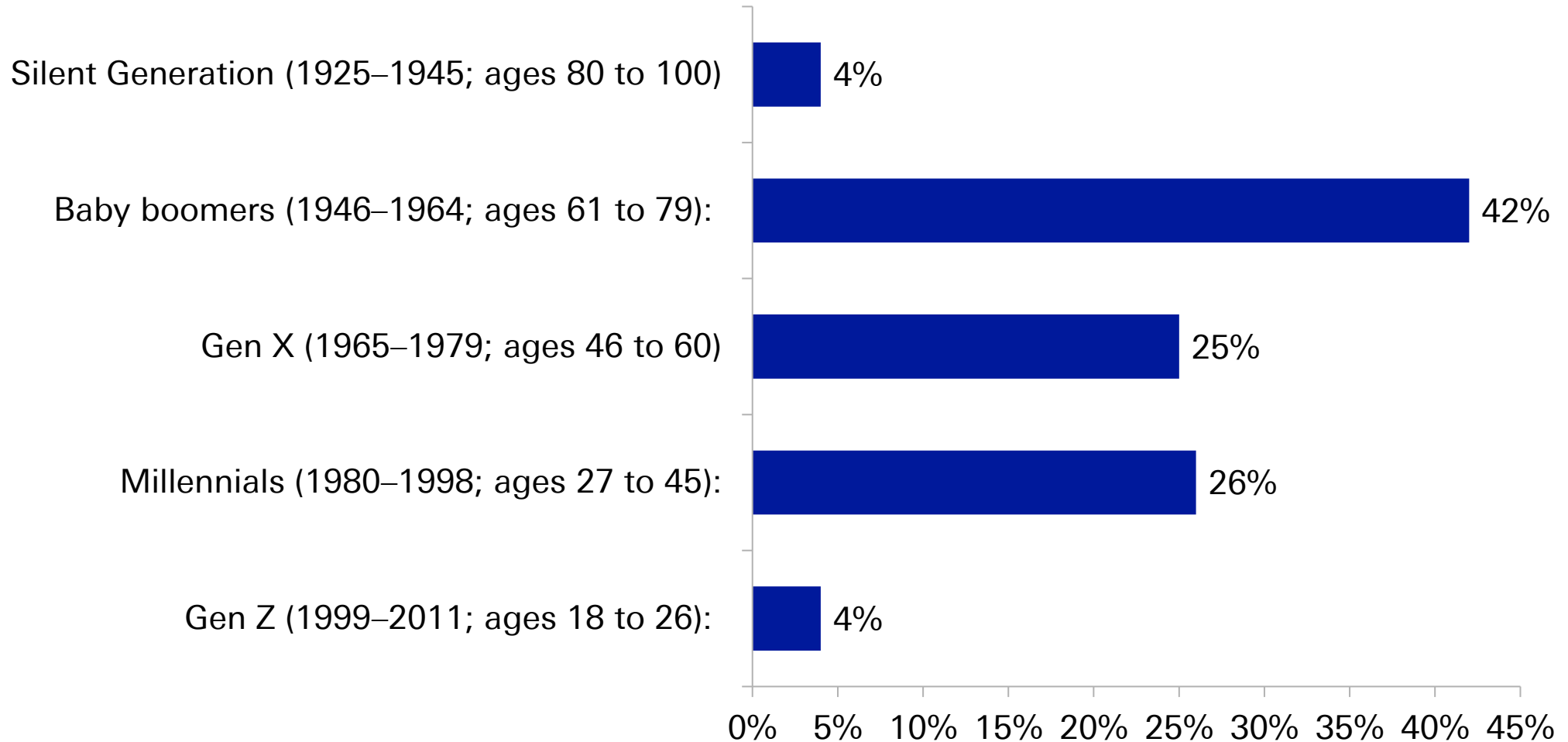


Source: FRB, Haver, Deutsche Bank.

As many US Octogenarians and older buy houses as Gen Zs. One and half times the number of baby boomers (aged 61-79) buy houses as Millennials (aged 27-45) who should be in their peak home buying years.



Age distribution of Home buyers by Generation, 2025

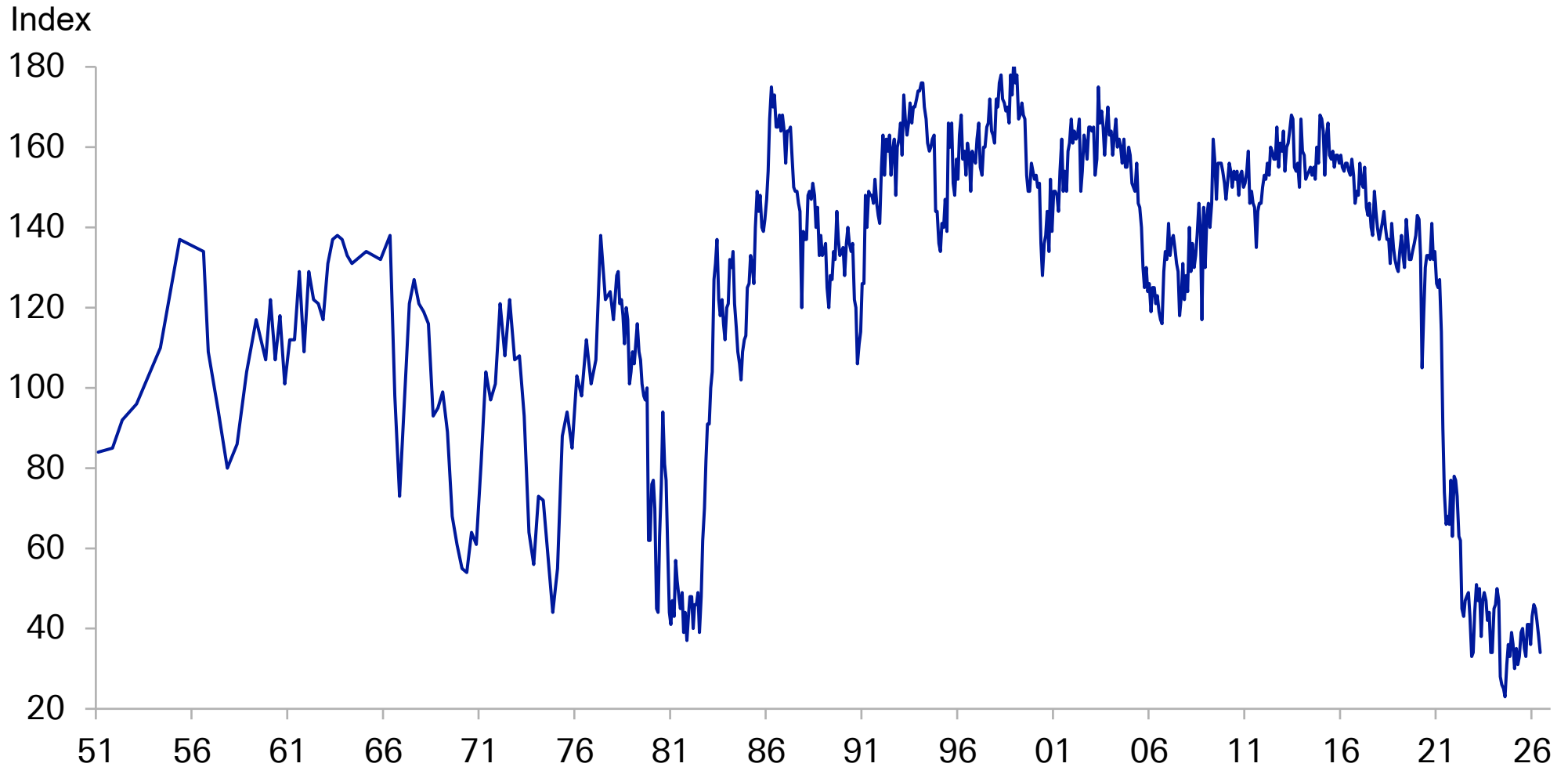


Source: 2026 NAR Home Buyers and Sellers Generational Trends , Deutsche Bank

Consumers don't see this as a great time to be buying a house and haven't since mortgage rates soared in 2022. Prices aren't falling which is preventing a rebalancing...



Current Conditions for Buying Houses (Index Score)

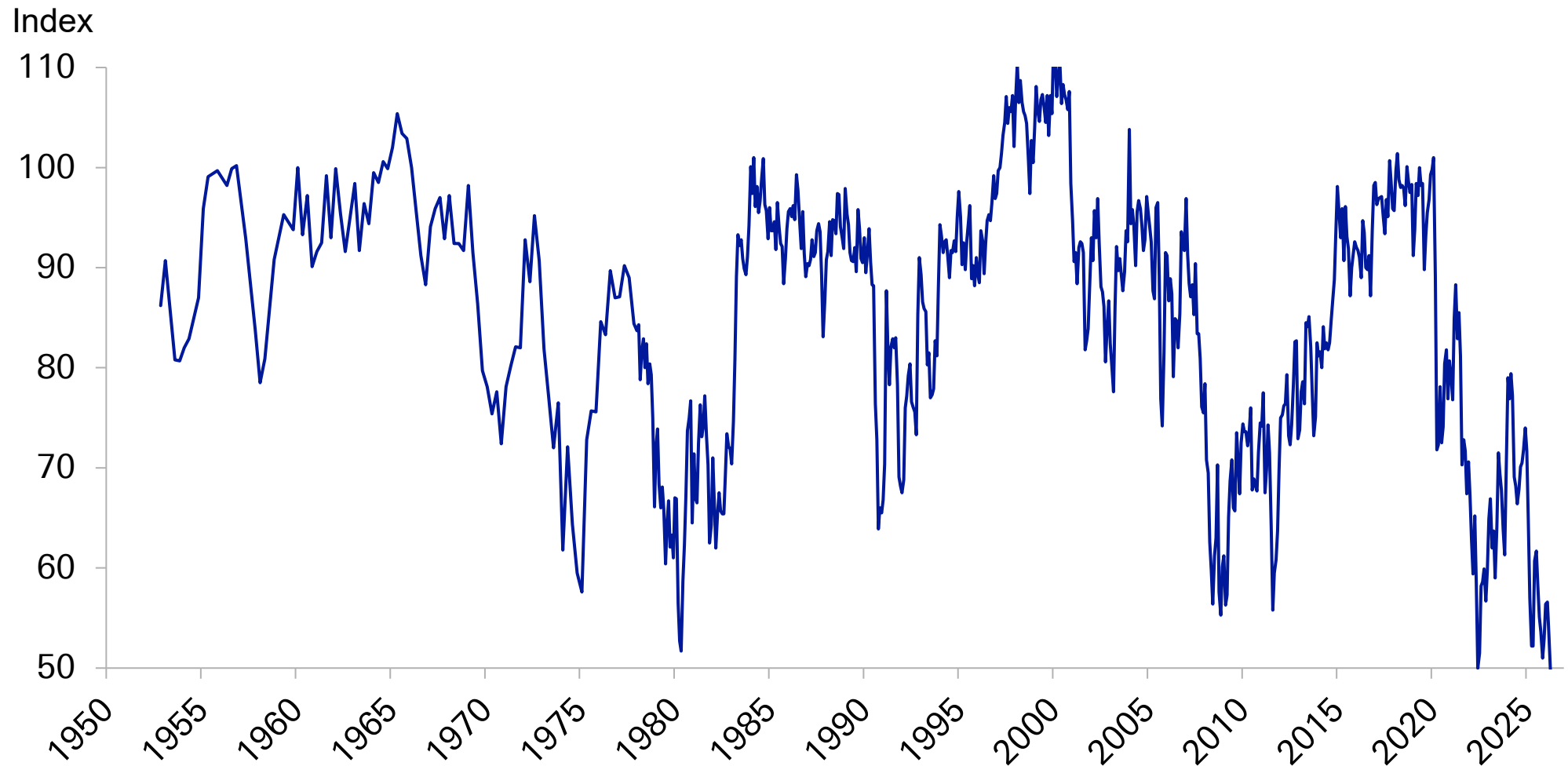


Source: UMICH, Haver Analytics, Deutsche Bank

US consumers generally don't seem to be too happy with the state of the economy, contrasting with the strong GDP numbers...



University of Michigan: Consumer Sentiment (NSA, Q1-66=100)

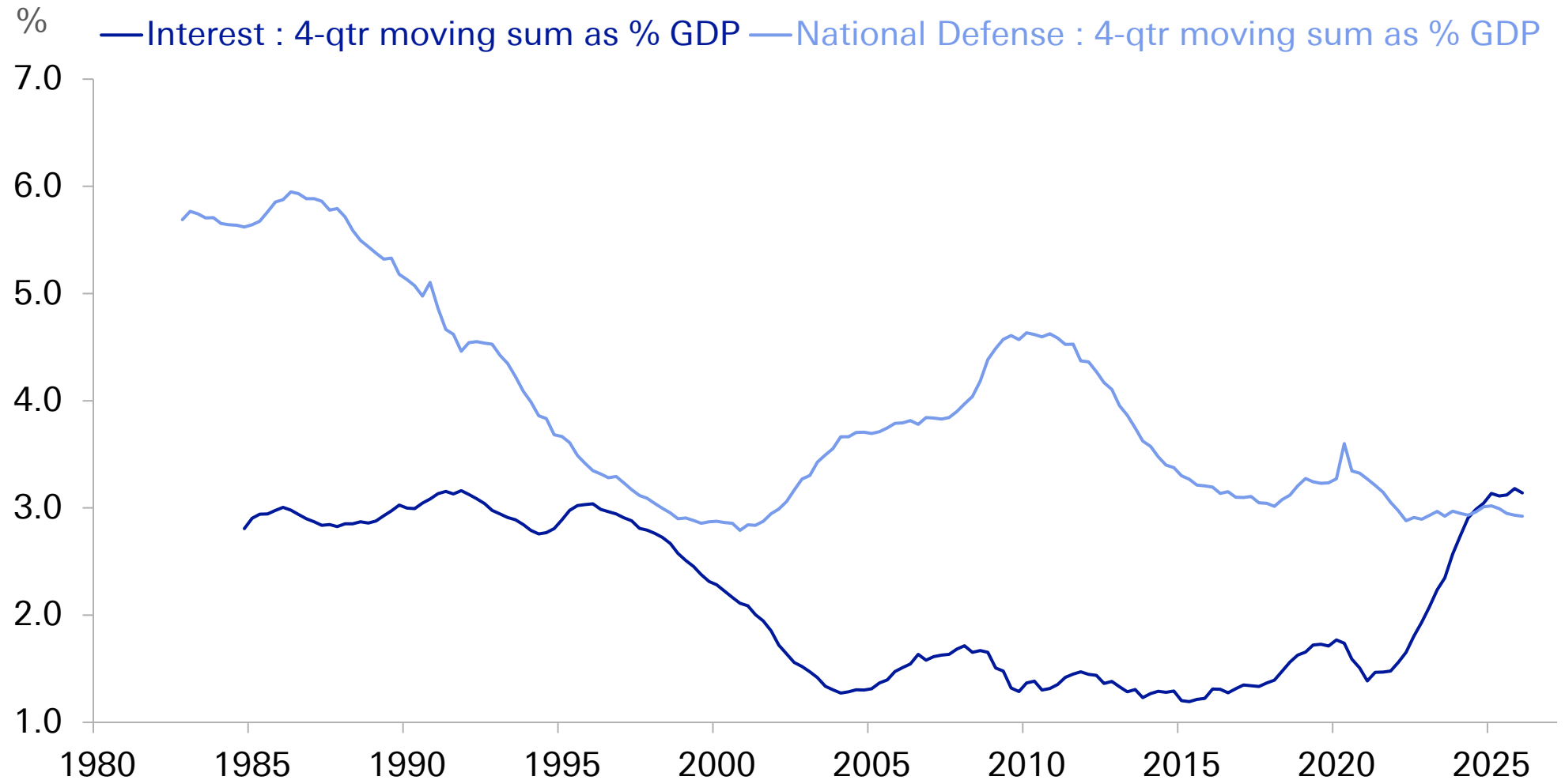


Source: University of Michigan, Haver, Deutsche Bank

Renewed US leadership relative to its peers has also been accompanied by record peacetime fiscal deficits. Interest payments on government debt now exceed defense spending at a time when the geopolitical backdrop remains highly uncertain.



The Crossover: Rising Federal Interest Payments have Overtaken Defense Spending

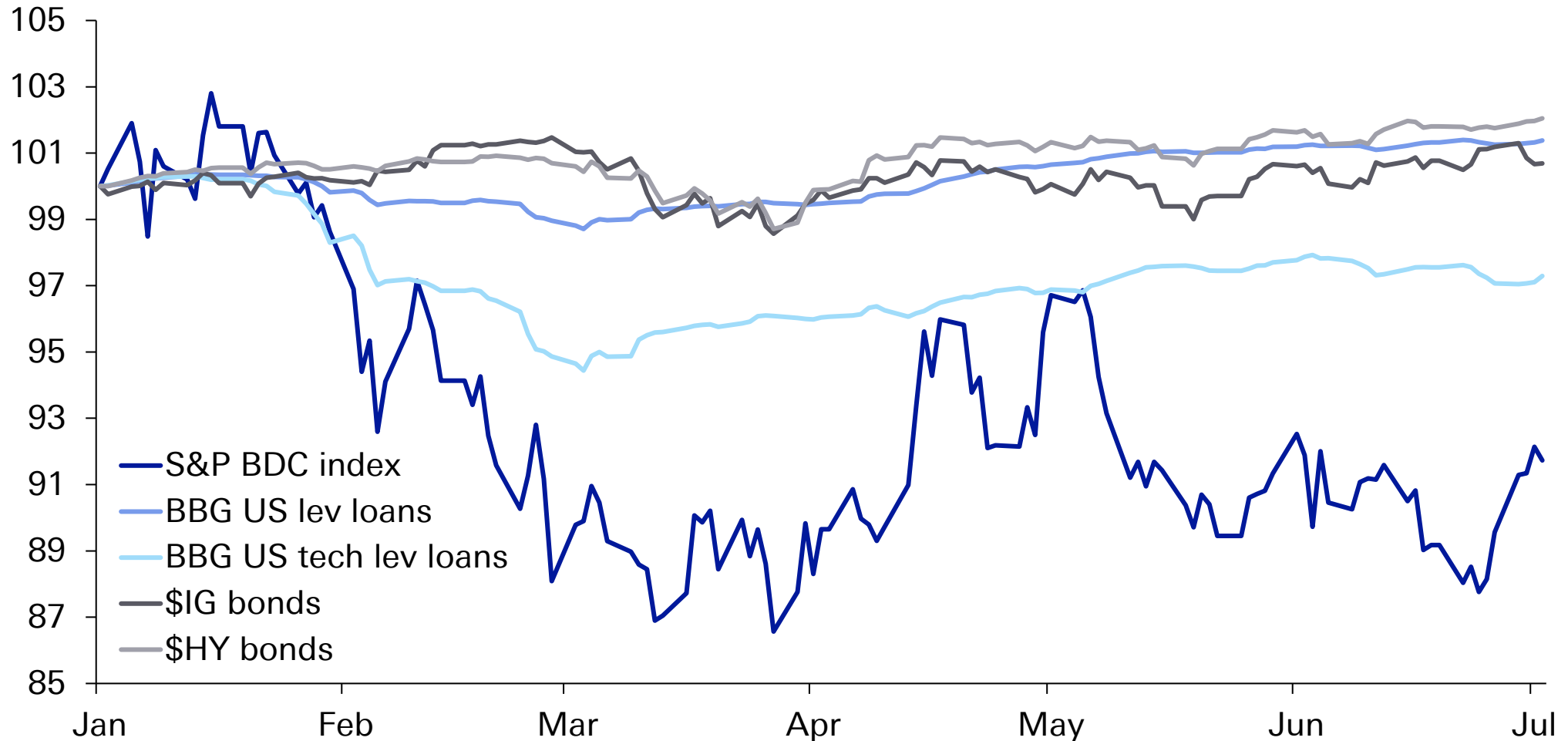


Source: CBO, OMB, Haver Analytics, Deutsche Bank Research

Credit has had a good year but software and associated sectors/indices are suffering even if they've stabilised since March/April...



Credit indices YTD total return performance

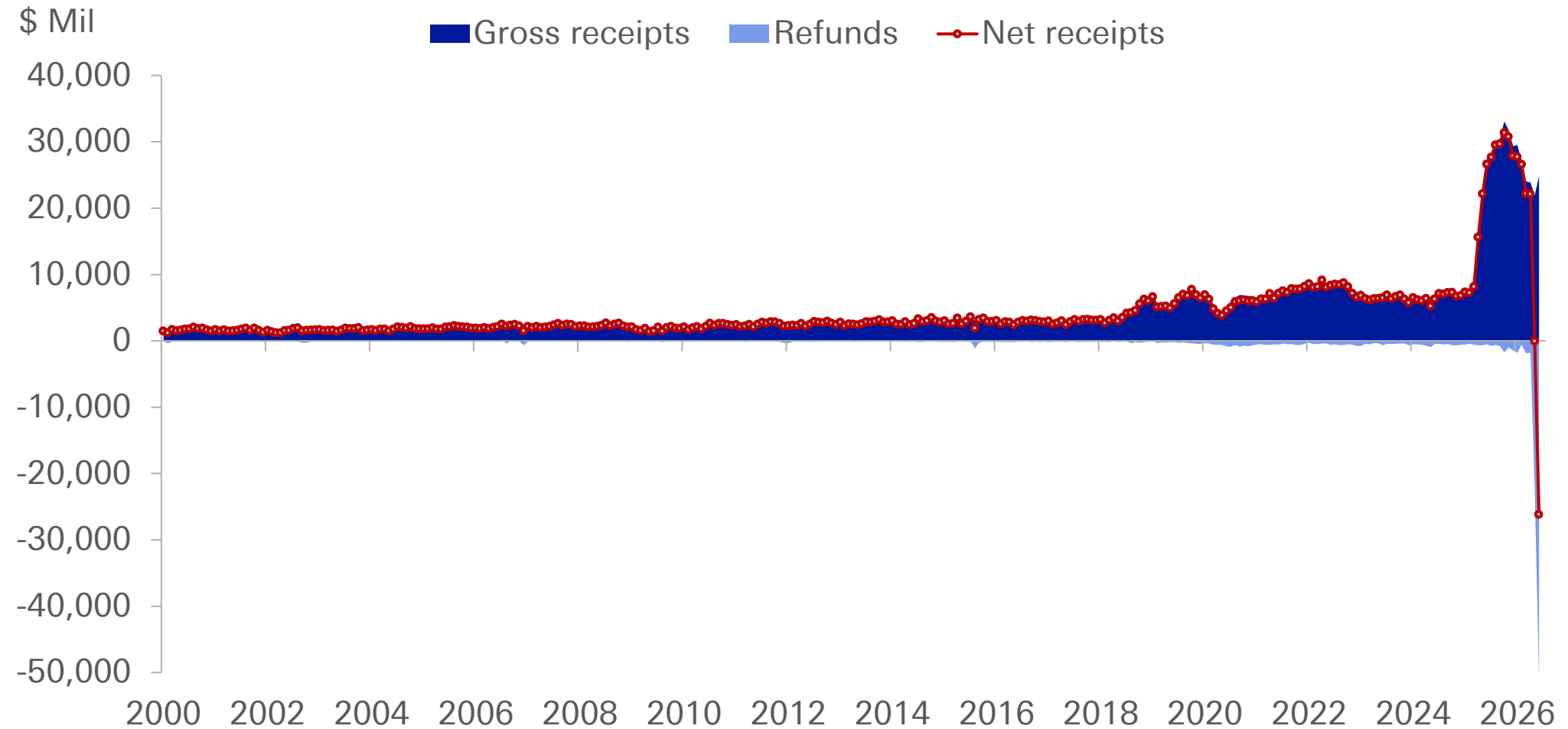


Source: Bloomberg Finance LP, Deutsche Bank.



Tariff refunds are giving back some of the US fiscal gains of recent months. New tariffs will likely be implemented to offset but the graph is a striking reflection of the post Liberation Day world.

US Government Custom duties



Source: US Treasury, Deutsche Bank

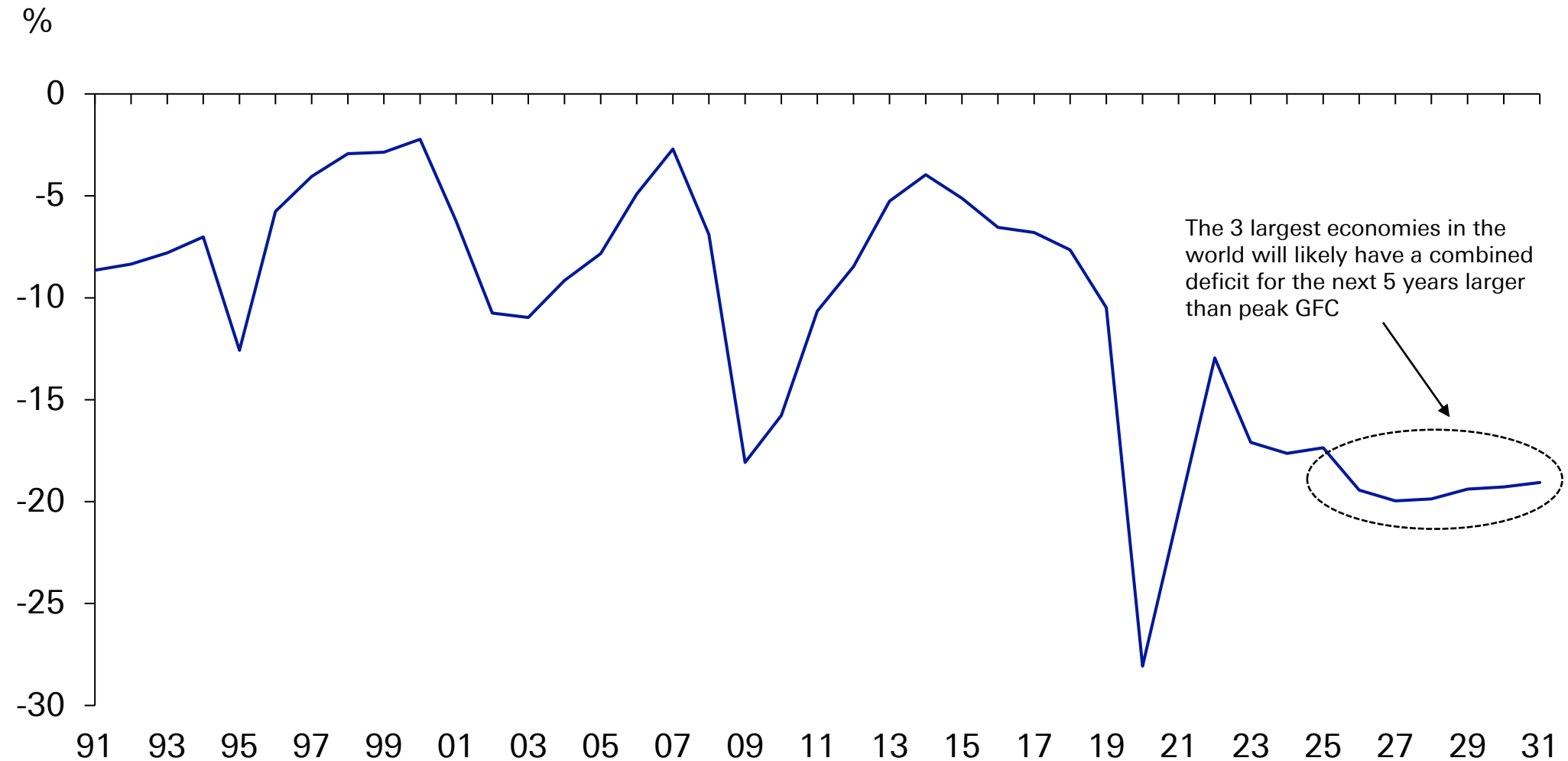


Fiscal spending is high around the world...



The combined fiscal deficits of the three largest economies in the world (US, China and Germany) is set to be higher every year out to 2031 than at the worst point of the GFC. And don't forget the 4th largest, Japan has a new PM committed to more fiscal...

Big Three: Combined Fiscal Deficits as % GDP of US, China and Germany



Source: IMF, Haver, Deutsche Bank



Japan is worth a watch..

Talking of Japan, the Yen is now at 40-year lows...



USDJPY Spot Exchange Rate - Price of 1 USD in JPY



Source: Bloomberg Finance, Deutsche Bank; Last update: July 3

10-year JGB yields are hovering near the highest levels since 1997, having recently reached those highs.



JGB 10 yr yields

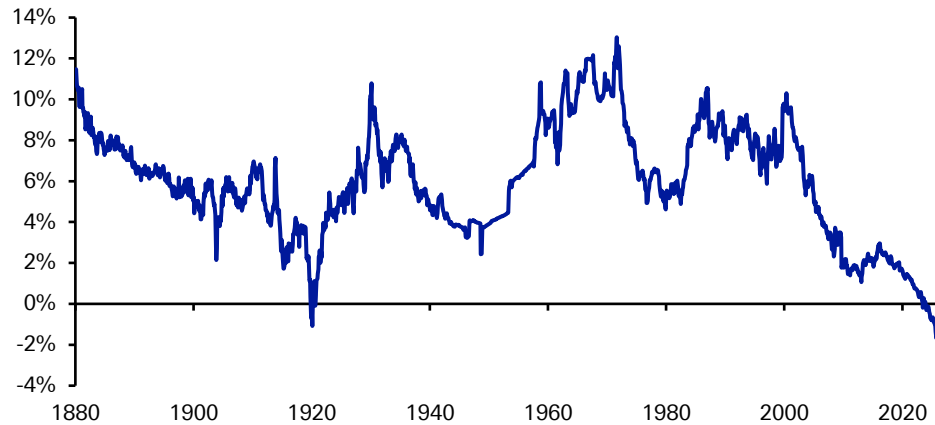


Source: Bloomberg Finance LP, Deutsche Bank; Last update July 3

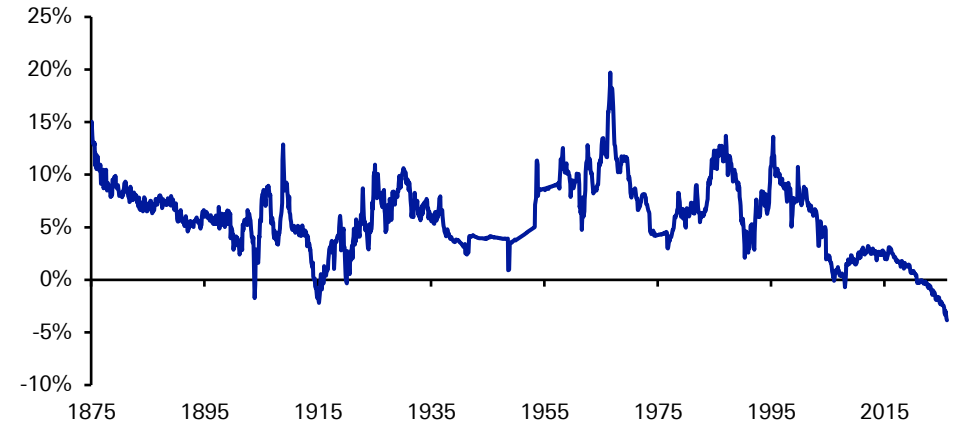
10yr JGBs have seen negative returns over a 5yr and 10yr horizon, in both nominal and real terms... In nominal terms it's the worst ever performance..



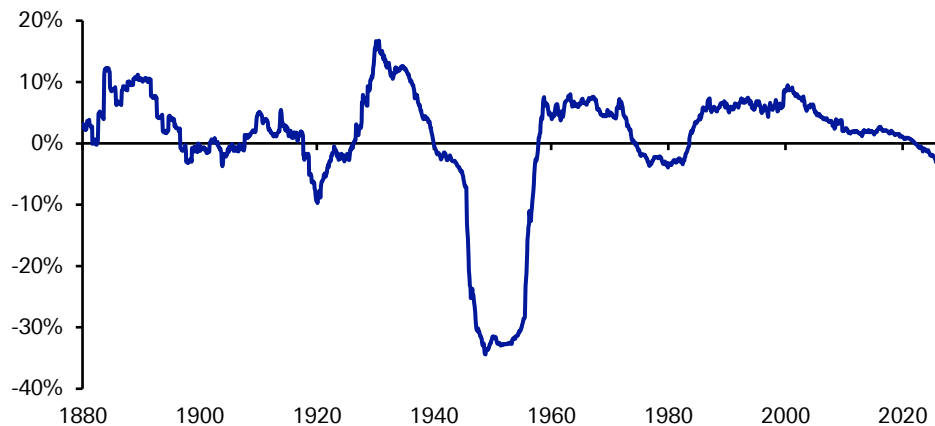
10yr Rolling Nominal Return (Annualised)



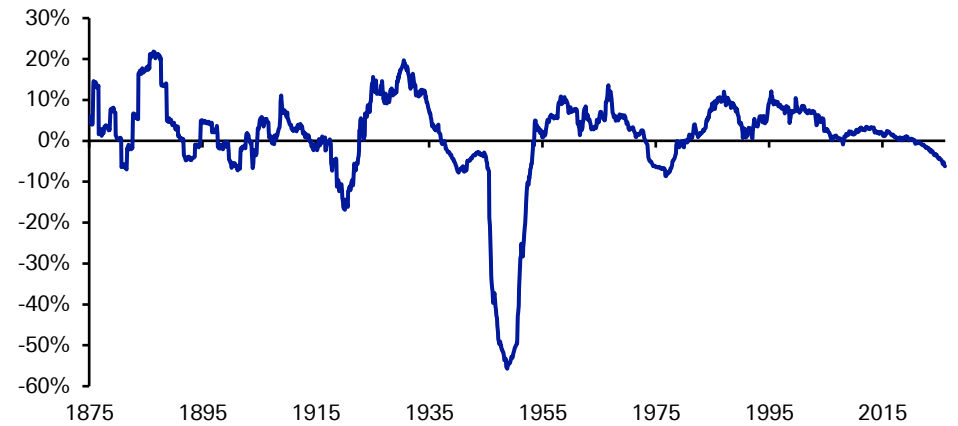
5yr Rolling Nominal Return (Annualised)



10yr Rolling Real Return (Annualised)



5yr Rolling Real Return (Annualised)



Source: Finaeon, Deutsche Bank

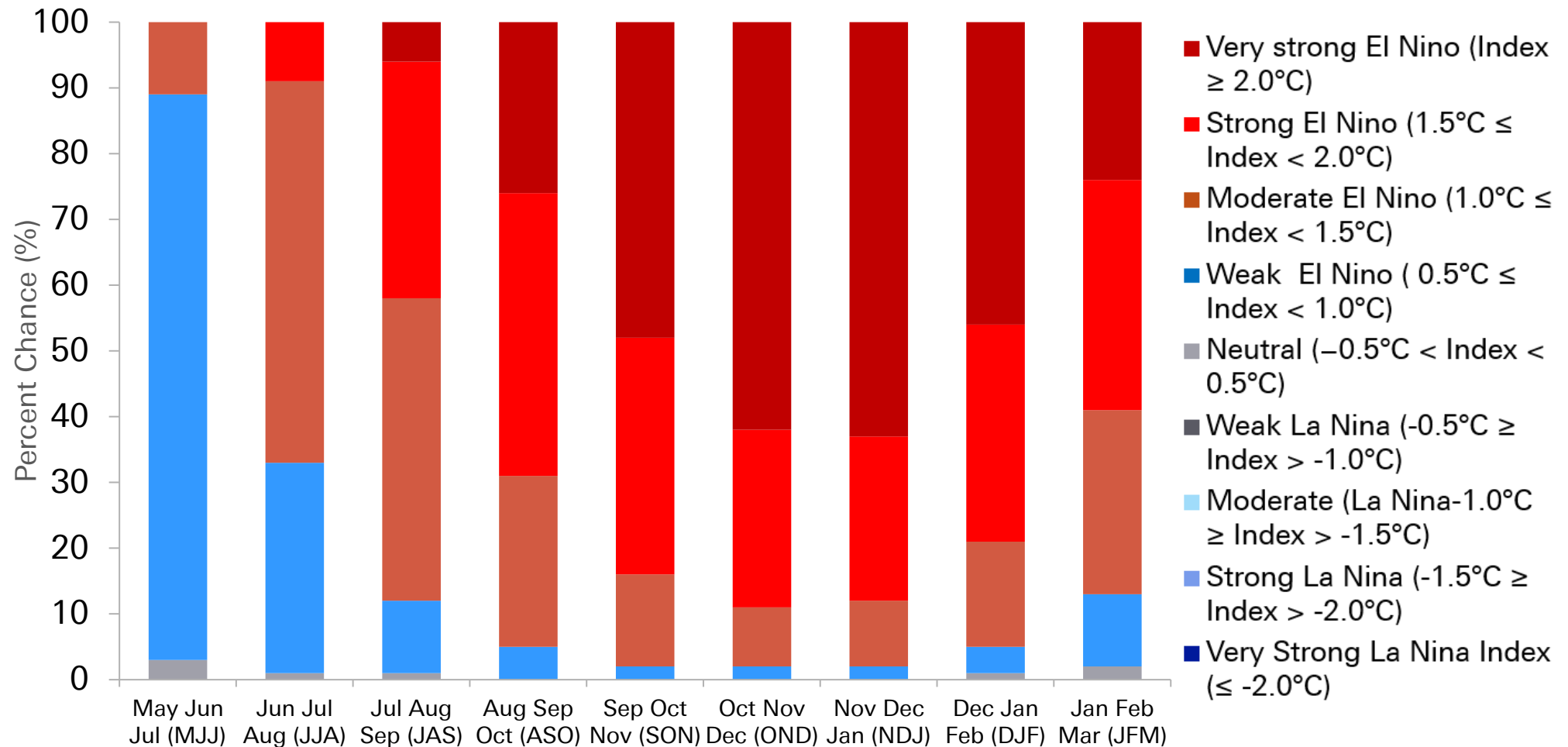


Random slides to end...

Strong/very strong El Nino probabilities are very high towards the end of this year. Darkest red indicates the highest heat probabilities.



Official NOAA CPC ENSO Strength Probabilities (Issued June 2026)

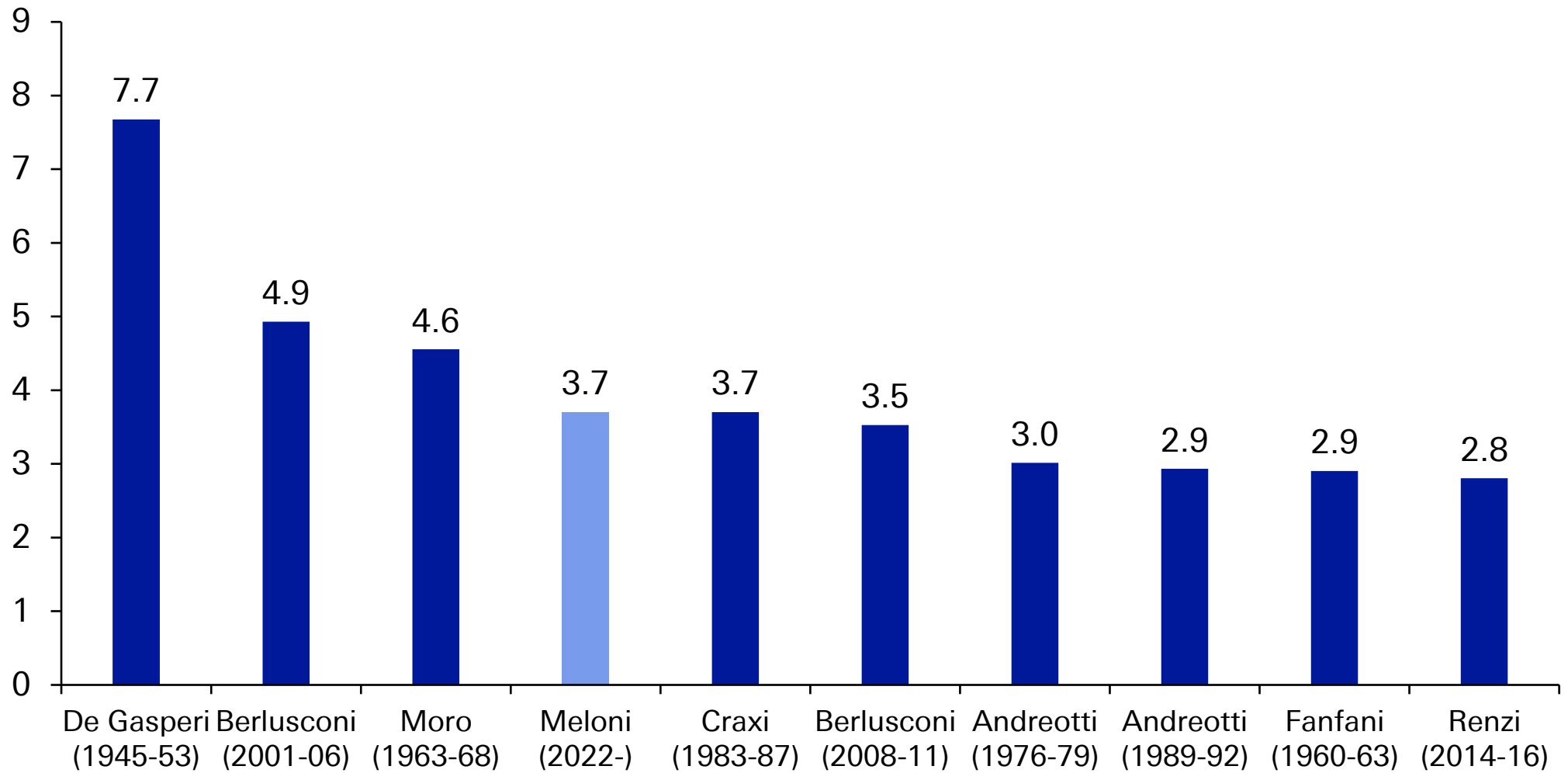


Source: NOAA, Deutsche Bank ; Note: The bars show the chance of El Niño, ENSO-Neutral, and La Niña provided for 9 upcoming, overlapping 3-month seasons (each letter represents a month).

Giorgia Meloni has now served the 4th longest consecutive term for a post-war Italian PM... meanwhile the UK is about to see a 7th PM in a decade....



Longest consecutive terms for Italian Prime Ministers since WWII (in years)



Source: Wikipedia, Deutsche Bank

Appendix 1



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